

Bank of Kigali

Investor Presentation

Year to September 2012

Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, governmental policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

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Agenda

1. Key Investment Highlights
2. Country Overview Information
3. Banking Sector Overview
4. Bank Overview
5. Corporate Governance
6. Business Overview
7. Review Of Financial Performance In 9M 2012 & 2011
8. Strategic Outlook
9. Contact Information

Key Investment Highlights

1. Best East African Bank 2012



2. Bank of the Year 2009-2012



3. Best Bank in Rwanda 2009-2012



4. Best Best African Listing



5. Best Financial Reporting Company 2012, Rwanda



6. Company of the Year 2011



7. AA-/A1 Credit Rating



The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.

Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 10.7 million with 83% below the age of 40
- Robust economic growth of 4.1%-11.2% between 2006-2010 and 7.6% expected for 2012
- Moderate inflation: Inflation at 5.6% in September 2012
- Very friendly business environment, recognized as the 2nd most reformer globally 2005-2011 in World Bank Doing Business Report

Significant Banking Sector Potential

- Significant headroom for growth given low banking penetration
- Total assets/GDP of 25%
- Large unbanked population of approximately 77%
- Well regulated banking sector: fairly conservative regulator relative to regulators in the EAC

Market Leadership

- Market leadership by
 - Total assets (RwF 311.6 billion as of 30 Sept 2012) – 31.9% market share as at 30 Sept 2012
 - Net Loans (RwF 164.7 billion as of 30 Sept 2012) – 29.4% market share as at 30 Sept 2012
 - Customer Deposits (RwF 203.0 billion as of 30 Sept 2012) – 28.9% market share as at 30 Sept 2012
 - Shareholders' equity (RwF 66.0 billion as of 30 Sept 2012) – 41.9% market share as at 30 Sept 2012

Conservative Business Model

- Relatively high capital adequacy ratios ranging from 14.0% - 29.1% between 2007 and YTD 2012
- Manageable level of non-performing loans – 6.8% of gross loans in September 2012, down from 19.4% in 2007
- Loans to deposit ratio range of 54.8% - 81.1% between 2007 and 30 September 2012.

Experienced Management Team

- Management team with combined banking sector experience of 79 years
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

Profitable Growth

- Robust asset growth at a CAGR of 24.4% (2007-2011) to RWF 311.6 billion in 9M 2012
- ROAA ranging from 3.0% - 4.0% between 2006 and 9M 2012

COUNTRY OVERVIEW INFORMATION

Rwanda – Country Profile

National Facts

Area	26,338 sq km
Population (2011)	10.5 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (RWF)
Credit Rating	B/Stable (Fitch Ratings) B/B (Standard & Poors)

Macro Economic Indicators

Nominal GDP (2011)	US\$ 6.4 billion
Nominal GDP Per Capita (2011)	US\$595
Real GDP Growth Rate 2011	8.6%
Real GDP Growth Rate 2012E	7.6%
Inflation Rate (September 2012)	5.6%
Private Sector Credit Growth (2011)	28.4%
Current-account deficit including official transfers	7.6%
External Debt to GDP (2011)	15.4%
Currency Depreciation against USD (Year to September 2012)	1.4%
FDI as % of GDP (2011E)	3.1%

Business Environment

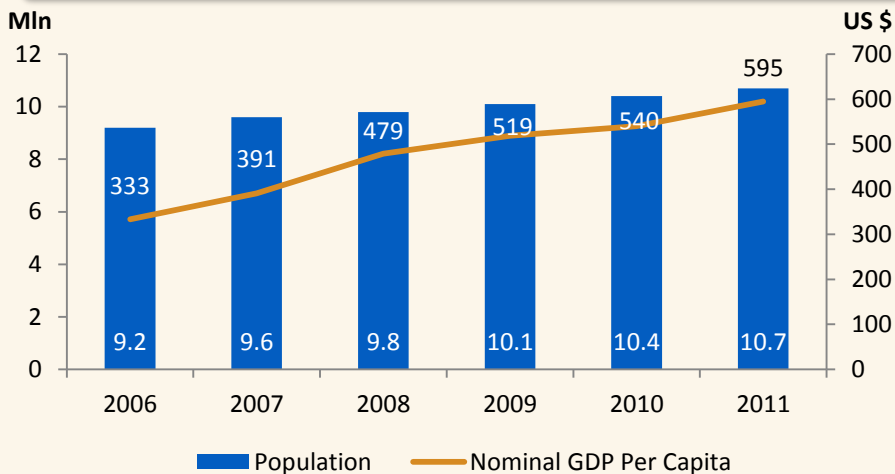
- Rwanda has been recognized by the World Bank as the second most active reformer globally 2005-2011
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index
- Today, entrepreneurs can register a new business in 24 hours as well as online



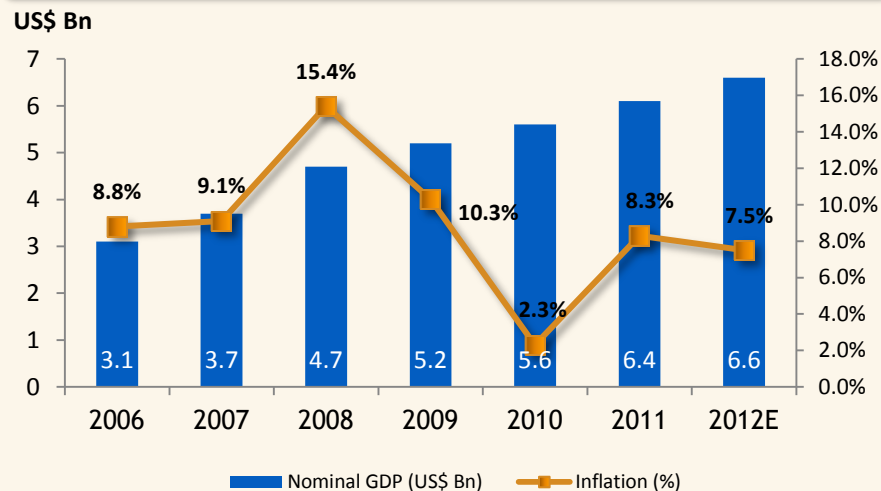
Source: IMF, CIA World Factbook, Ministry of Finance and Economic Planning, National Institute of Statistics Rwanda, National Bank of Rwanda,

Sound Macro Fundamentals

GDP per Capita continues to grow

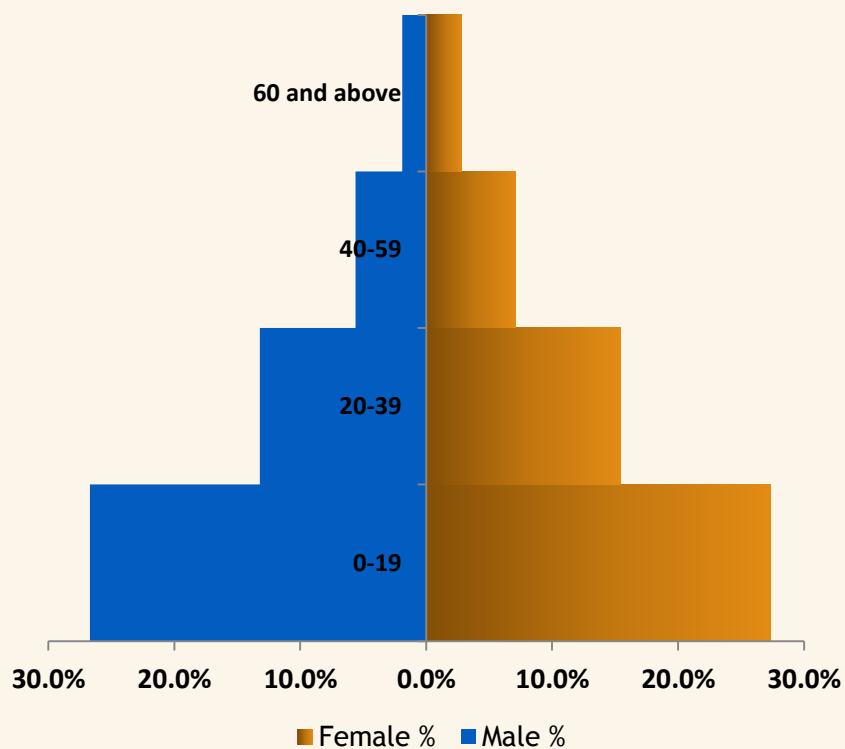


Healthy GDP growth with moderating inflation



Source: Ministry of Finance and Economic Planning, IMF

Population Pyramid for Rwanda, 2011

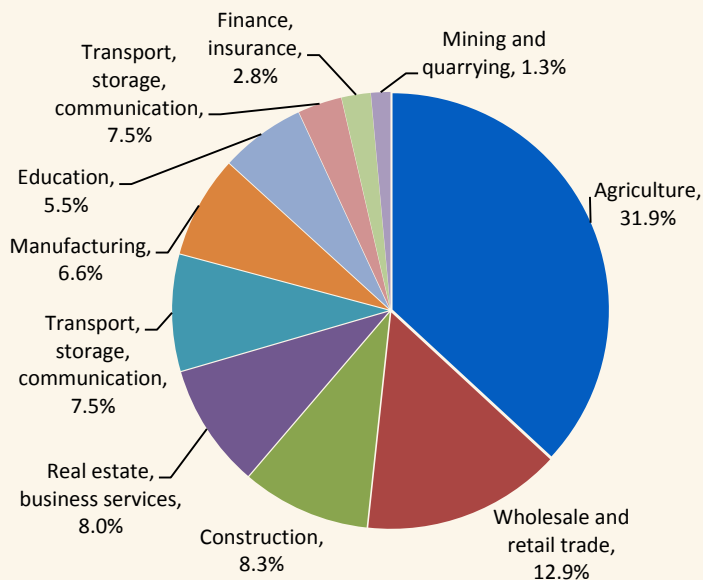


- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: National Institute of Statistics Rwanda

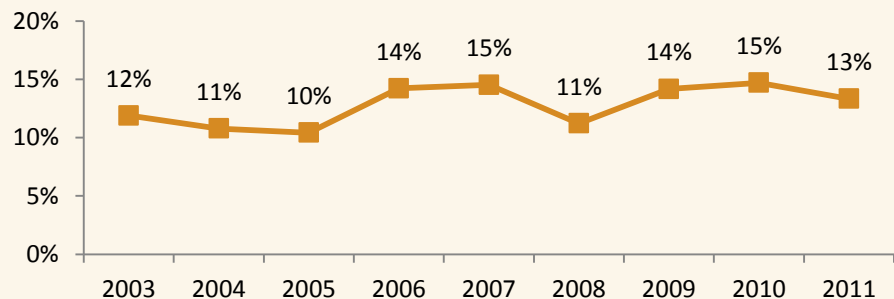
Macroeconomic Indicators

GDP Breakdown By Economic Activity 2011



Source: National Institute of Statistics Rwanda

Trade Deficit As A % Of GDP



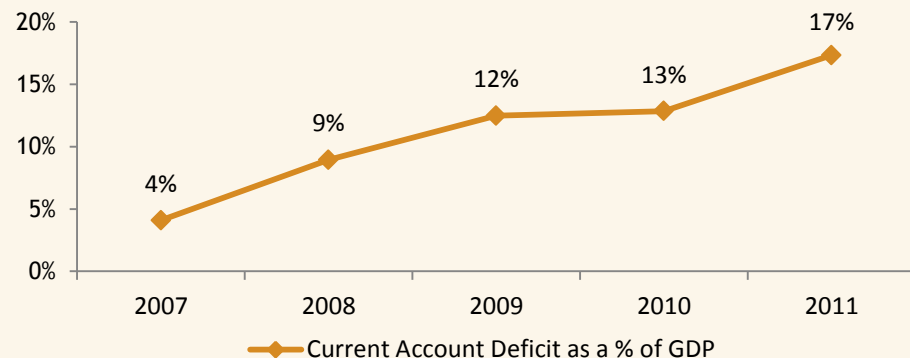
Source: Ministry of Finance and Economic Planning, IMF

Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include intermediary goods especially construction materials, consumer goods, energy and lubricants and capital goods.
- Informal cross-border trade is a significant component of Rwandan external trade (approx. 18% of total exports). More than 78% of these exports are destined to DRC.
- Official reserves were estimated at 7.7 months of goods imports for Dec 2011

Source: NBR Monetary Policy Statement

Current Account As a % of GDP



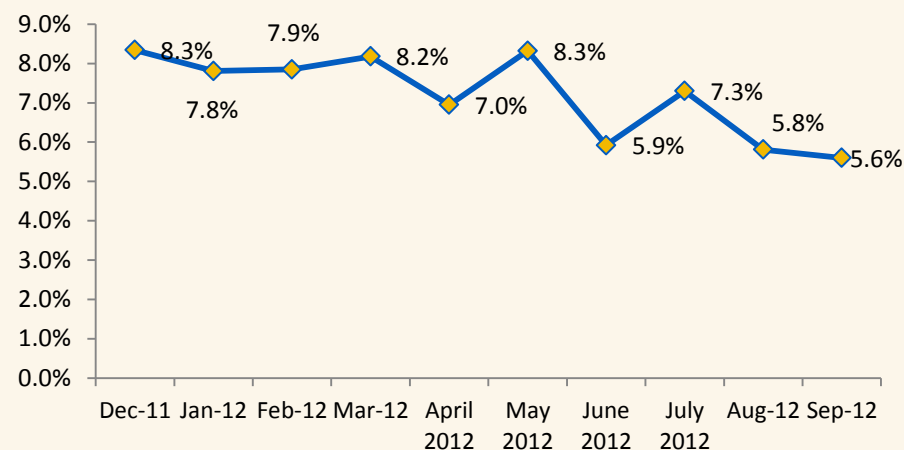
Source: National Institute of Statistics Rwanda

Review of the Macro Economic Environment Year to Sept 2012

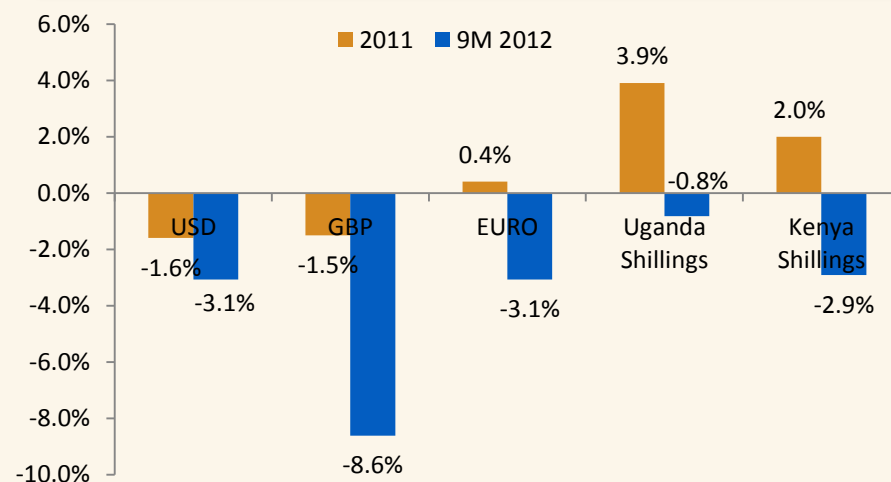
Macro Economic Review

- The country's GDP continues to perform well, in line with the annual real GDP growth projections.
- In Q1 2012, real GDP increased by 7.7% boosted by the high increase in services (+14%) despite moderate performance in industry (1%) and agriculture (3%).
- The annual headline inflation decelerated to 5.6% in September from 5.92% in June 2012 and 8.34% in December 2011.
- The Central Bank policy rate was increased in May 2012 from 7.0% to 7.5%.
- Exports value increased by 25.1% during the first half of 2012 on annual basis, against 22.1% for imports.
- The imports cover improved to 18.7% in the first half of 2012 from 18.2% in the corresponding period of the last year.

Inflationary Environment Year to September 2012



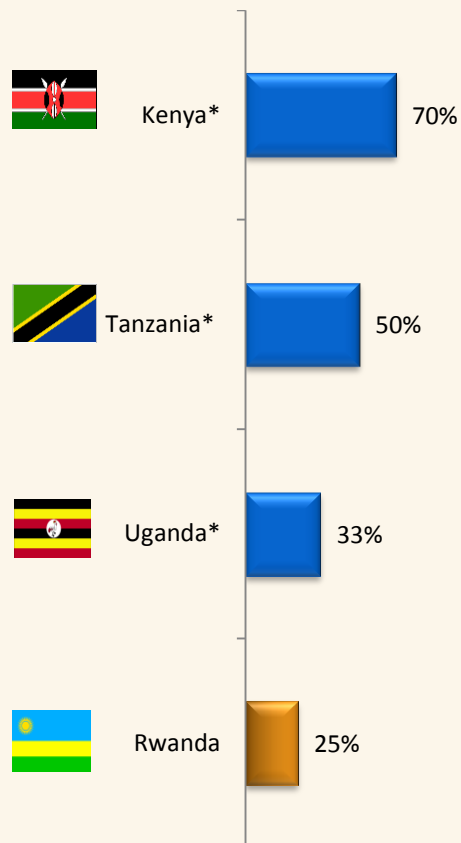
Exchange Rate Developments Year to September 2012



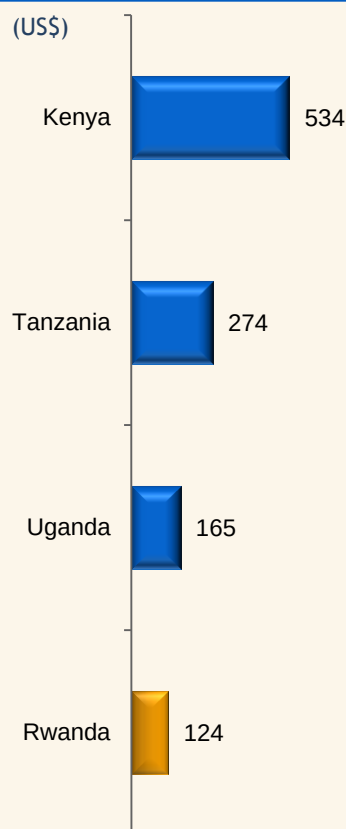
BANKING SECTOR OVERVIEW

Significant Banking Sector Potential

2011 Banking Assets/GDP



2011 Banking Assets Per Capita⁵



Large Unbanked Population

- Economy is still cash based with bank accounts being used mostly for cash deposits and withdrawals
- Approximately 23% of the population is banked
- 42% of the adult population (approx. 1.9 million) are served through regulated financial institutions (i.e Banks, MFIs, SACCOs etc)

Source: Finscope Rwanda 2012

Prudential Regulations

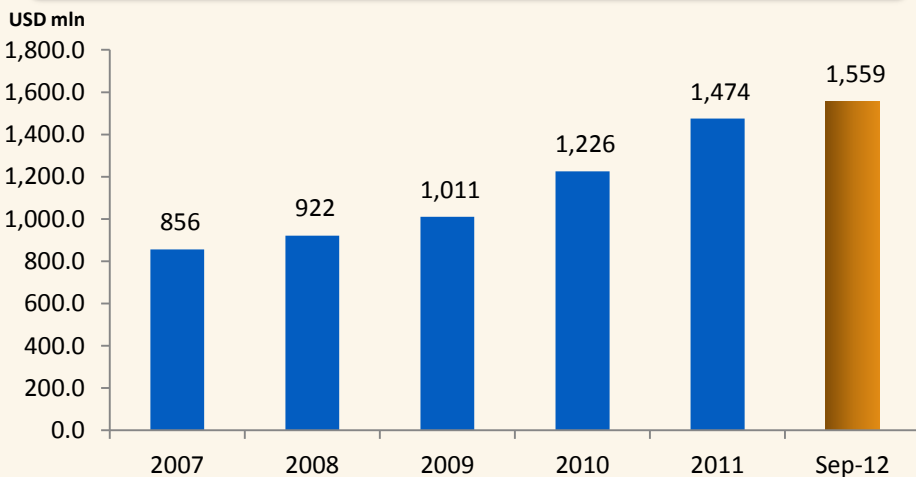
CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Reserve Requirement	5% of total deposits
Lending in foreign currency	Restricted to exporters

- Source: Central Bank of Kenya and Economic Survey 2011
- Source: IMF and Tanzania Banking Survey 2011 (Serengeti Advisers)
- Source: IMF and Bank of Uganda Joint Annual Supervision & Financial Stability Report December 2010
- Source: NISR, National Bank of Rwanda Monetary Policy review
- Source: Population stats by IMF

*2010 figures are used for Tanzania and Uganda

Banking Sector Overview

Rwanda Banking System Total Assets

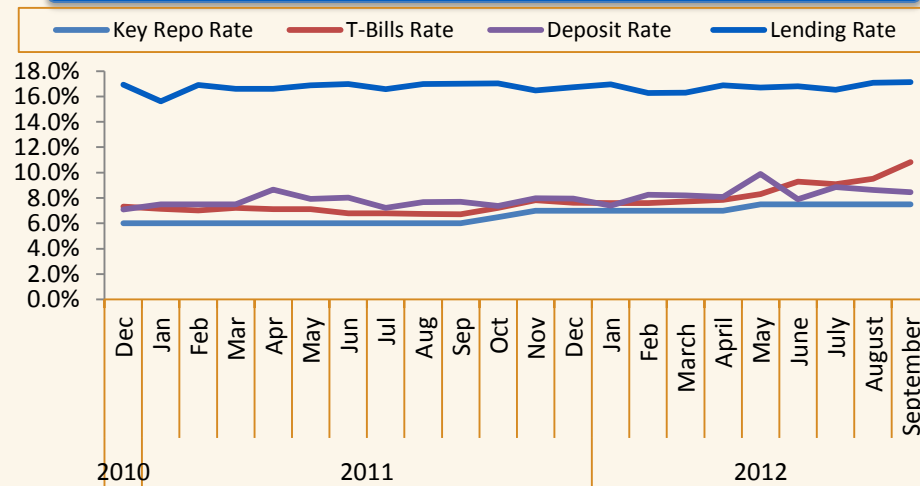


Source: NBR Monetary Policy & Financial Stability Report 2011

Banking Sector Review 9M 2012

- As at end September 2012, Tier 2 ratios stood at 24.1% (YE 2011: 25%) well above the regulatory minimum of 15%. The sector's liquidity position stood at 40.2% in September 2012 (YE 2011: 45.3%).
- Net loans in the Banking sector increased by 34%. The distribution of credit to private sector is dominated by the construction sector (26.8%), commerce, restaurants and hotel (31.5%) and retail lending (15.4%).
- The quality of assets improved significantly as the Non-performing loans (NPLs) to total gross loans reduced to 6.3% in September 2012 (YE 2011: 8%).

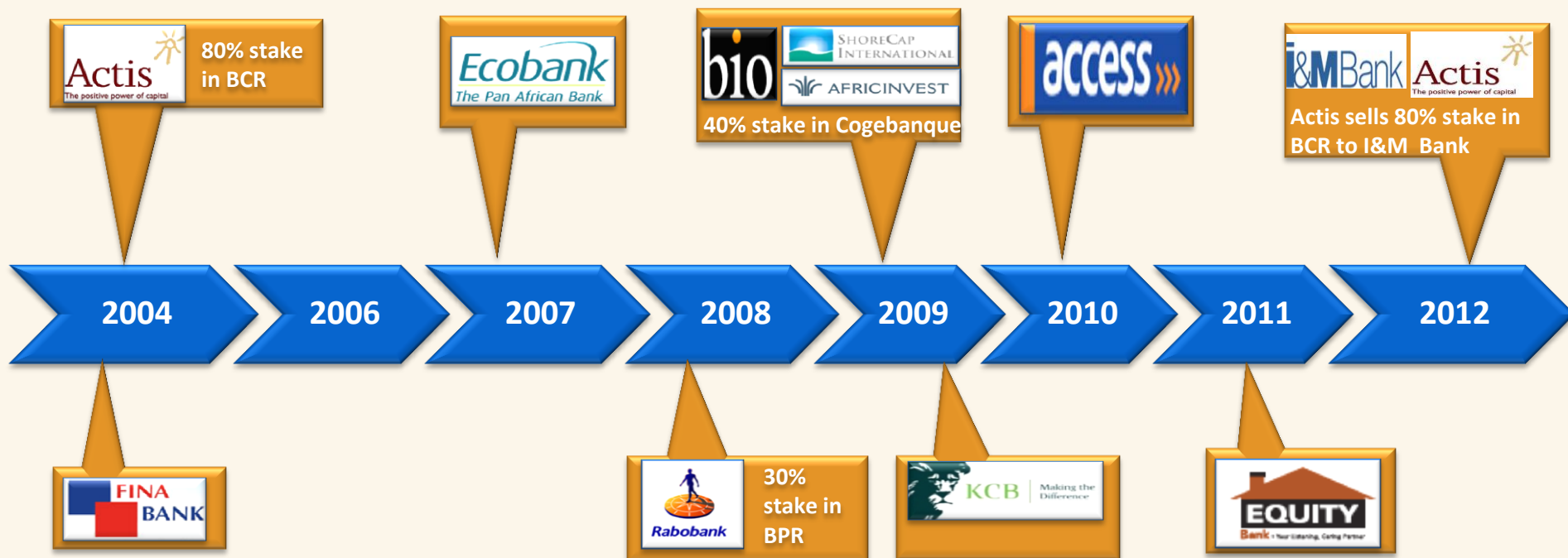
Interest Rate Analysis



Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Timeline Of Foreign Investment In The Rwandan Banking Sector

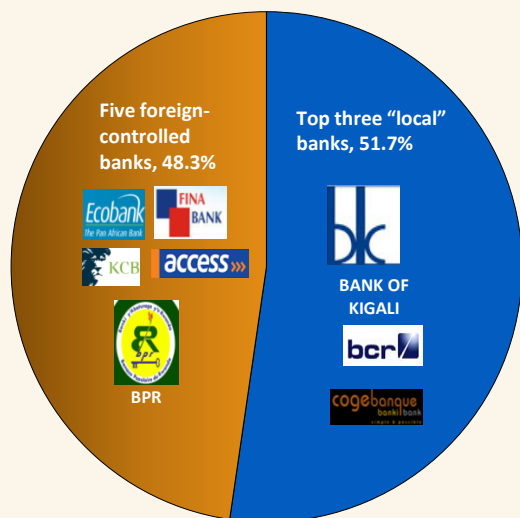


	2008	2009	2010	2011	Sept 2012
Bank of Kigali Market Share by Total Assets	23.4%	26.4%	27.4%	32.3%	31.9%

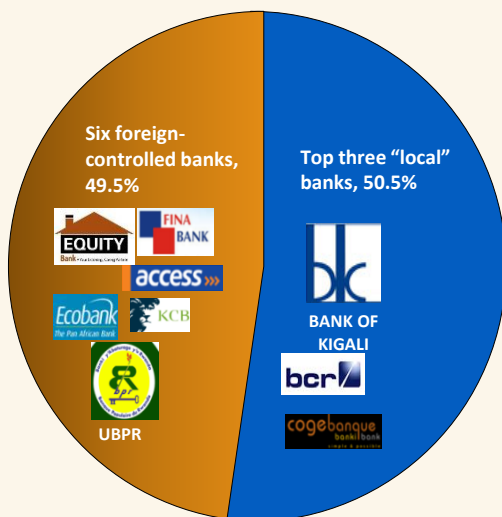
Banking Sector Overview Cont'd

Case study: Rwanda– six out of nine banks in Rwanda are owned by regional and Pan African banks and have lost market share to locally-run banks

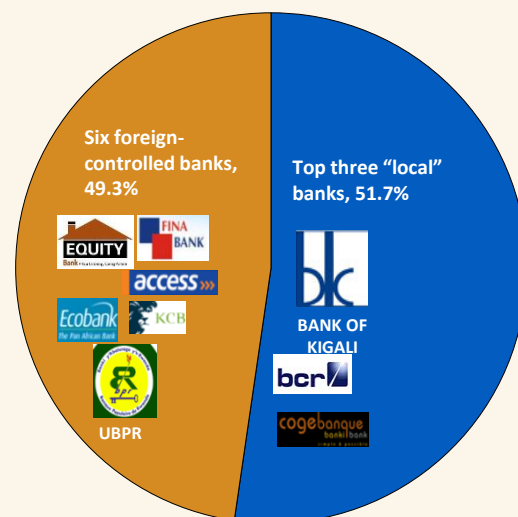
Market Share By Total Assets In 2008



Market Share By Total Assets In 2011



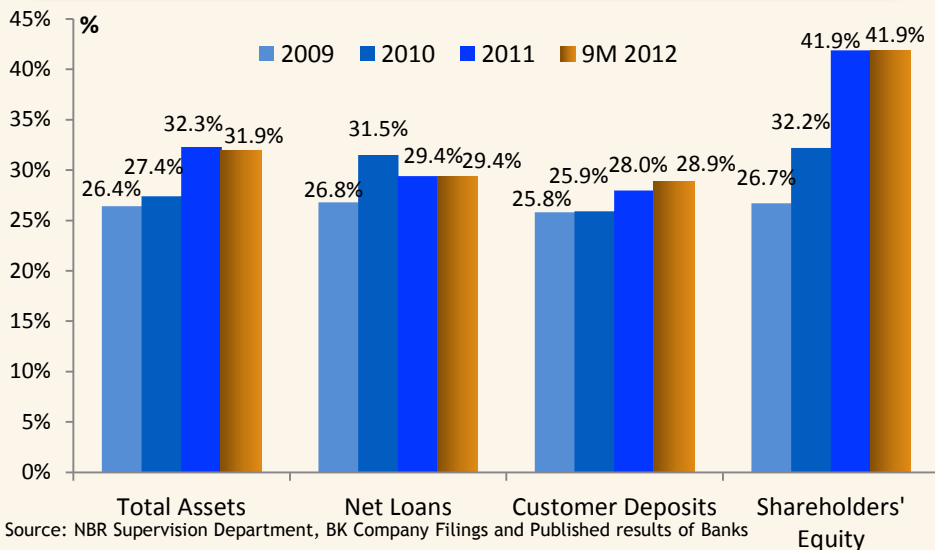
Market Share By Total Assets as at Sept 2012



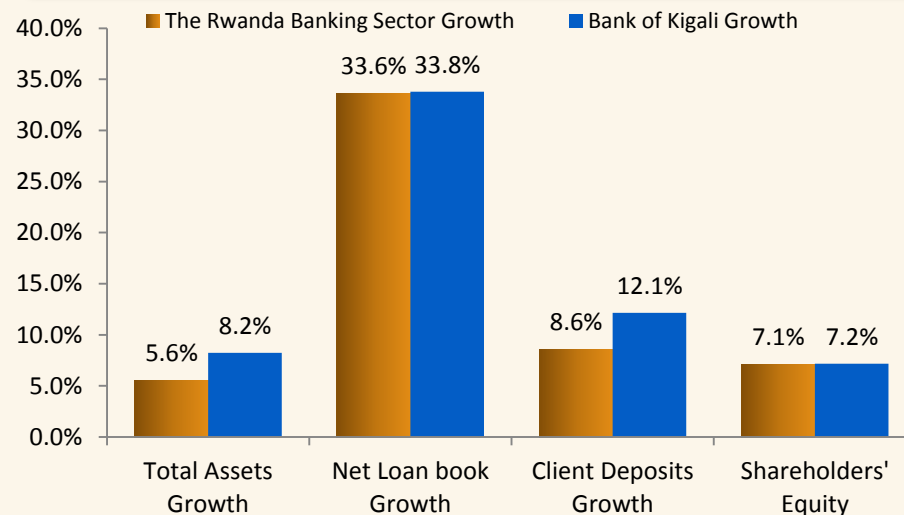
Source: the National Bank of Rwanda, company estimates

Competitive Landscape

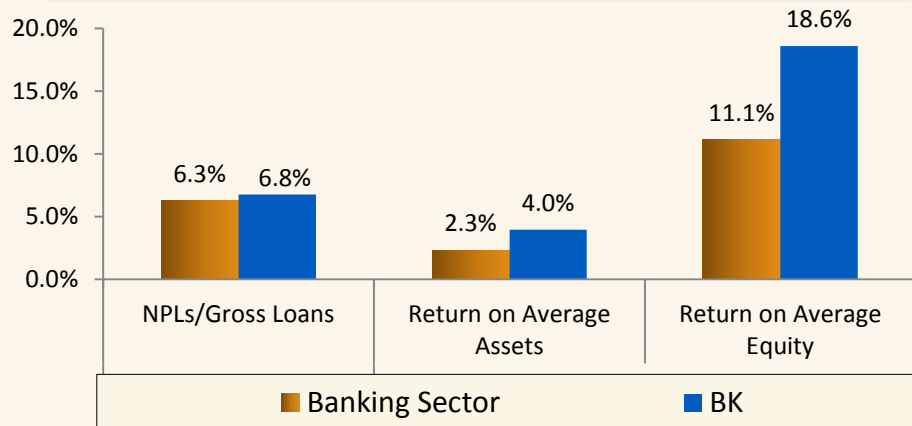
Market Share Dynamics



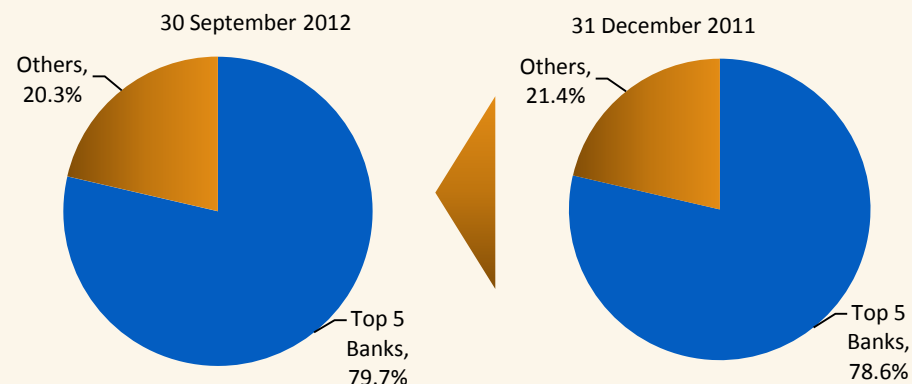
Banking Sector Growth Vs Bank of Kigali Growth Year to Sept 2012



Selected Indicators 9M 2012



Concentration of Banking Sector Assets



Source: 9M 2012 Published Bank Results

Source: NBR Supervision Department, BK Audited Full Year 2011 Results, BK 9M 2012 Reviewed results

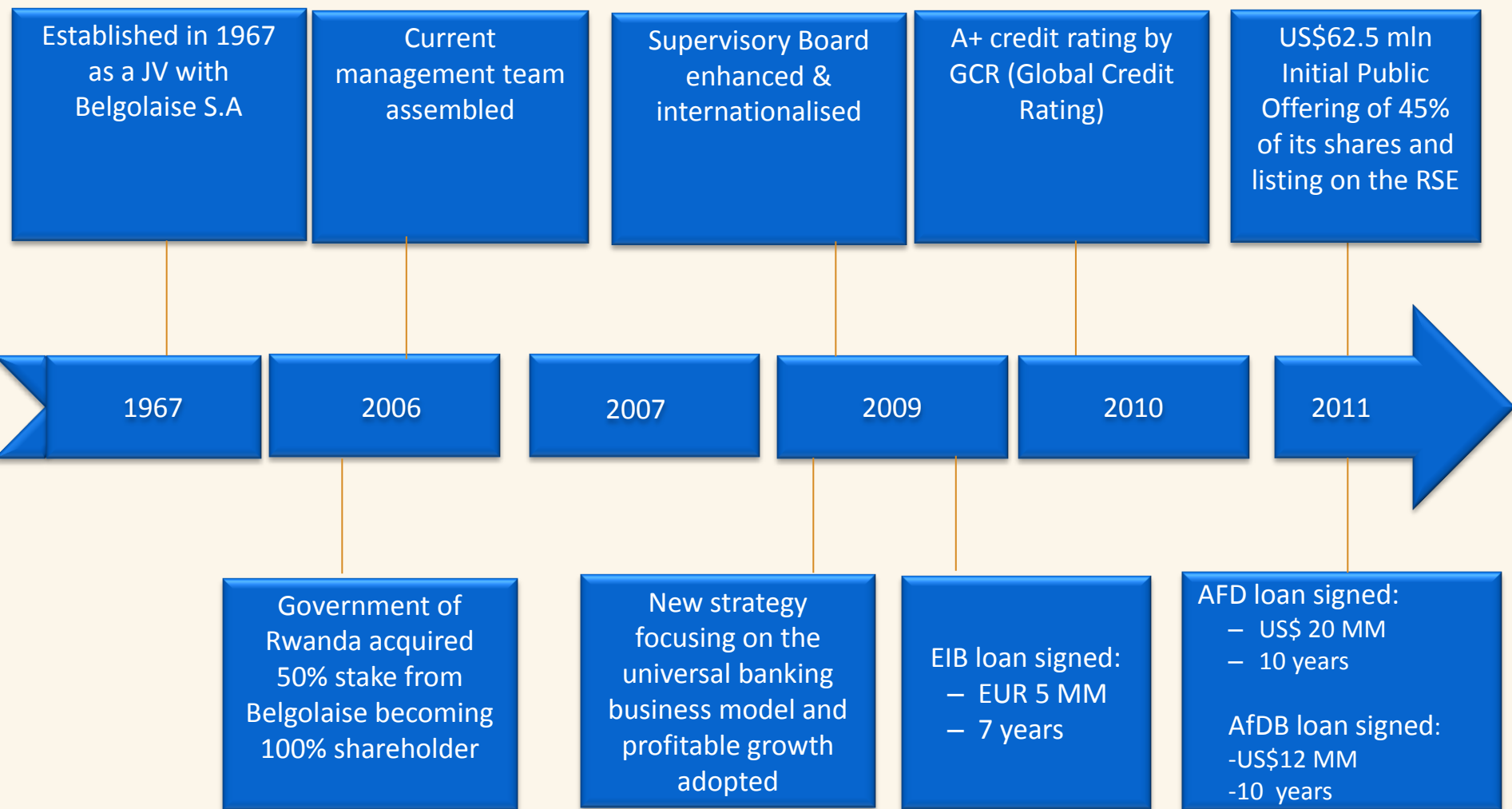
Bank Of Kigali Is The Market Leader

Rank	Total Assets		Net Loans		Customer Deposits		Equity	
1		31.9%		29.4%		28.9%		41.1%
	BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI		BANK OF KIGALI	
2		17.8%		22.5%		18.4%		14.3%
	BPR		BPR		BPR		BPR	
3		11%		10.8%		10.3%		8.7%
	BCR		ECOBANK		BCR		BCR	
4		10.2%		8.9%		12.4%		6.6%
	ECOBANK		BCR		ECOBANK		ECOBANK	
5		8.7%		9.2%		9.1%		8.5%
	COGEBANQUE		COGEBANQUE		COGEBANQUE		KCB	
6		7.3%		7.9%		7.2%		6.9%
	KCB		KCB		FINA BANK		COGEBANQUE	
7		6.8%		7.2%		4.3%		5.0%
	FINA BANK		FINA BANK		KCB		FINA BANK	
8		3.9%		2.2%		7.5%		3.6%
	ACCESS BANK		ACCESS BANK		ACCESS BANK		ACCESS BANK	
9		2.4%		1.7%		2.0%		4.5%
	EQUITY BANK		EQUITY BANK		EQUITY BANK		EQUITY BANK	

Source: Published 9M 2012 Financial Statements of Commercial Banks reviewed in accordance with BNR guidelines

BANK OVERVIEW

Background And History



A Snapshot Of Bank Of Kigali

Key Facts

- ☒ The leading bank in Rwanda (32.0% market share by total assets as of 30 September 2012), offering a wide spectrum of commercial banking services to corporate, SME and retail customers
- ☒ As of 30 September 2012 the Bank had:
 - ☒ Over 18,000 (current) corporate accounts
 - ☒ Over 176,621 retail current accounts
 - ☒ 56 branches
 - ☒ 45 ATMs
 - ☒ 800 employees
 - ☒ 34,581 debit cards in circulation
- ☒ Western Union Agent for International Transfers
- ☒ One of two Banks in Rwanda that issue International VISA cards.



US\$ million	2007	2008	2009	2010	2011	9M 2012	CAGR 2007-2011*
Rwf/USD Period End rate	547.7	560.0	573.2	594.4	604.4	625.6	
Total Assets	221.8	215.7	264.9	332.6	476.3	508.9	24.1%
Net Loans	88.8	128.7	134.5	170.6	203.7	269.0	26.1%
Client Deposits	186.0	167.6	191.0	228.3	299.5	331.5	15.5%
Shareholders' Equity	23.4	28.4	32.3	53.6	101.9	107.8	48.1%
Net Income	7.8	10.1	9.2	10.4	14.4	14.5	19.5%

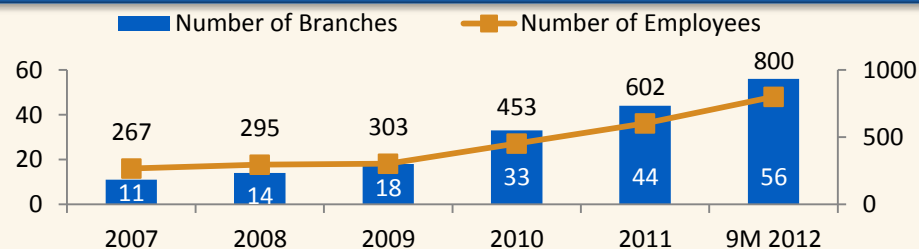
Growth figures are calculated on Rwf Values.

MARKET SHARE

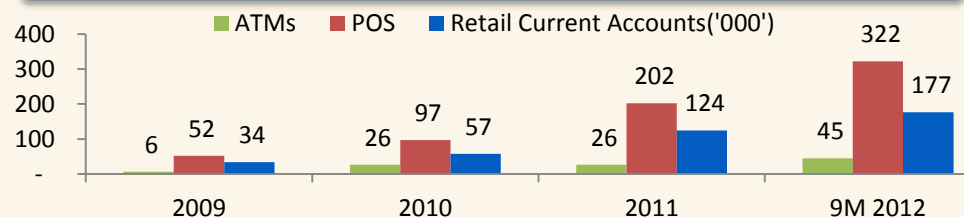
Total Assets	29.0%	23.4%	26.4%	27.4%	32.3%	32.0%
Net Loans	25.3%	24.4%	26.8%	31.5%	29.4%	29.3%
Client Deposits	30.6%	24.6%	25.8%	25.9%	28.2%	28.7%
Shareholders' Equity	28.3%	22.3%	26.8%	32.2%	41.9%	38.7%

Source: Bank of Kigali Audited Financials 2007-2011, BK Reviewed Results 9M 2012 and National Bank of Rwanda

Branch Network Evolution



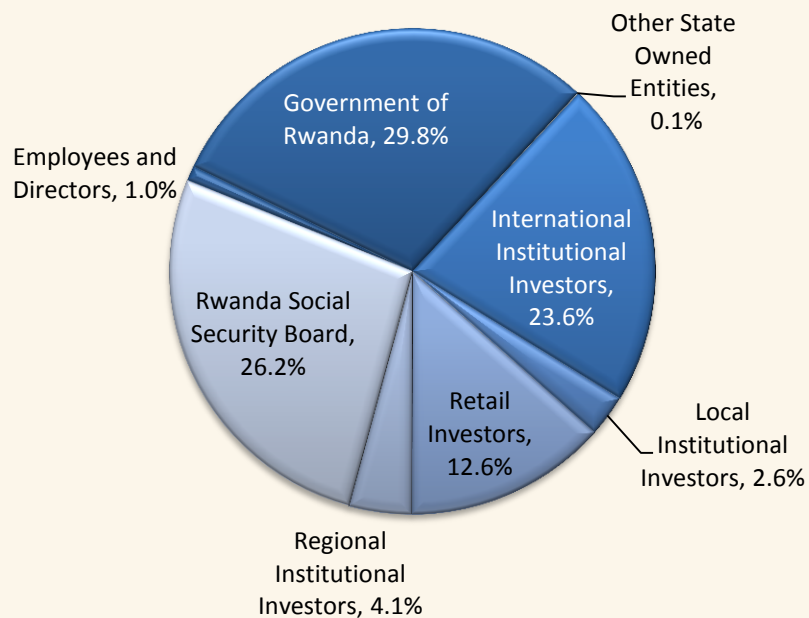
Growth in ATMs, POS Terminals and # of Retail Current accounts



CORPORATE GOVERNANCE

Shareholding Structure & Corporate Governance

Shareholding Structure as at 30 September 2012



Free float- 45%

Corporate Governance

- ✚ The Board of Directors is comprised of nine independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- ✚ The Board of Directors is approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands
- ✚ The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the corporate governance guidelines
- ✚ The Board sub-committees have clear TORs which underscore the scope and context of their performance as approved by the Board & corporate governance regulation
- ✚ The Board receives detailed financial information and regular presentations from the management on the Bank's business performance, this enables the Directors to make informed decisions on governance, strategic, financials and operational issues

Share Trading Performance

30 November 2012

Current price, Rwf	130
Market Cap, US\$ mln	138
Free float	45%
Free float in US\$ mln	66.5
Average daily traded volume in US\$ mln	0.1
Common shares outstanding, mln shares	667.3
12-month high	136
12-month low	118
P/E YE 2012F	6.65x
P/BV YE 2012F	1.31x
Dividend yield, 2011A	5.2%
Dividend yield, 2012F	7.7%
Ticker Code	BOK
Bloomberg	BOK. RW

Rwf/USD Exchange Rate (e-o-p) of 629.5 as at 30 November 2012

**Capital gains on the RSE transactions are exempted from Capital Gains Tax*

Analyst Coverage

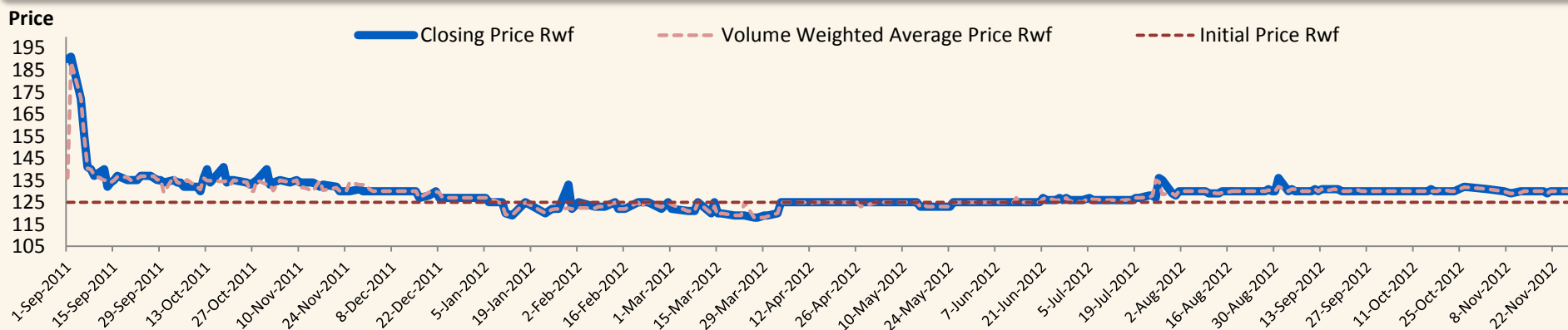


Recommendation: **BUY**
Target Price: **Rwf 180**

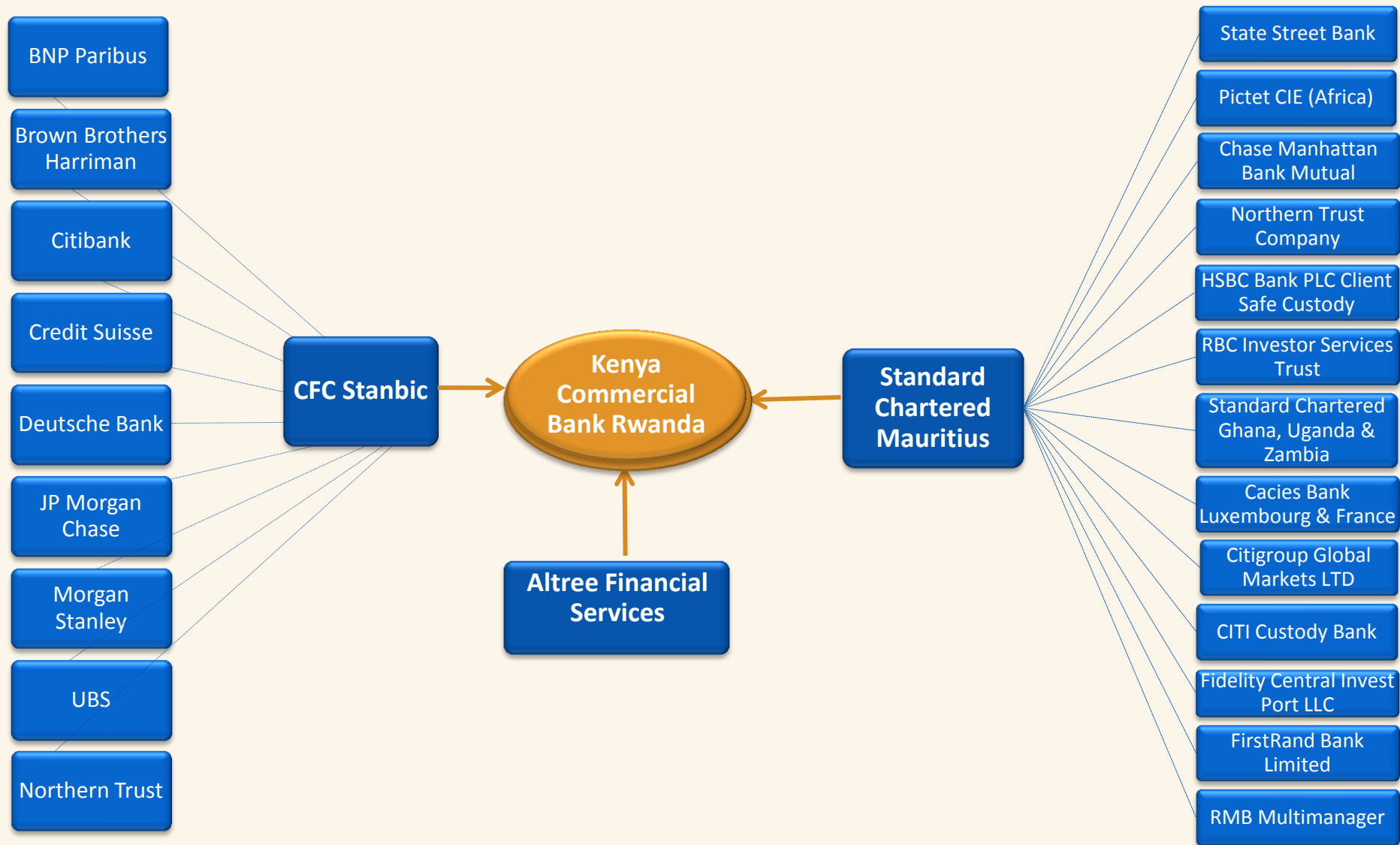


Recommendation: **BUY**
Fair value: **Rwf 154**

Share Price Performance since start of trading



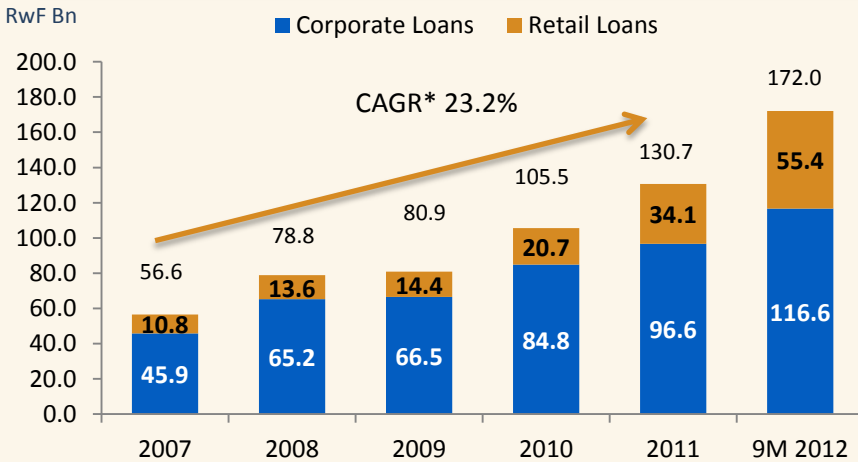
Custodial Service Chain



BUSINESS OVERVIEW

Overview Of The Loan Book

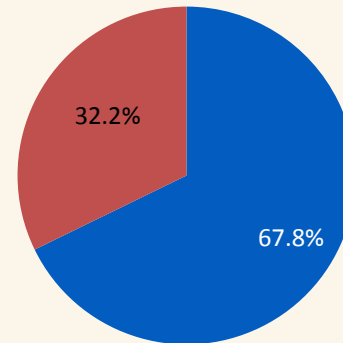
Gross Loan Portfolio



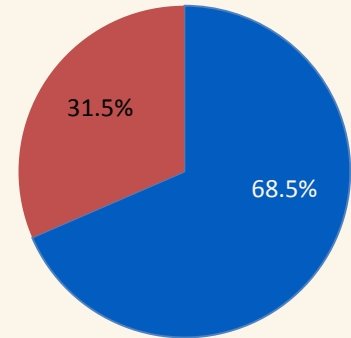
Source: Bank of Kigali * CAGR calculated from 2007-2011

Loan Book Segmentation

30 September 2012



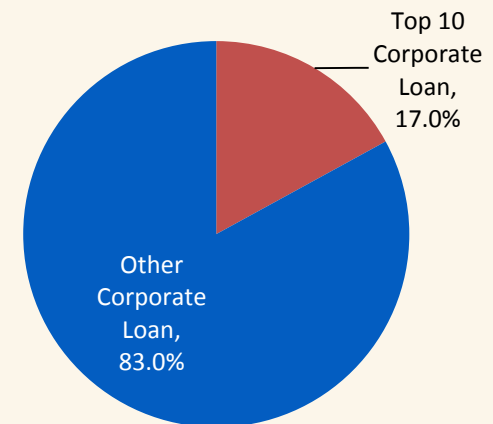
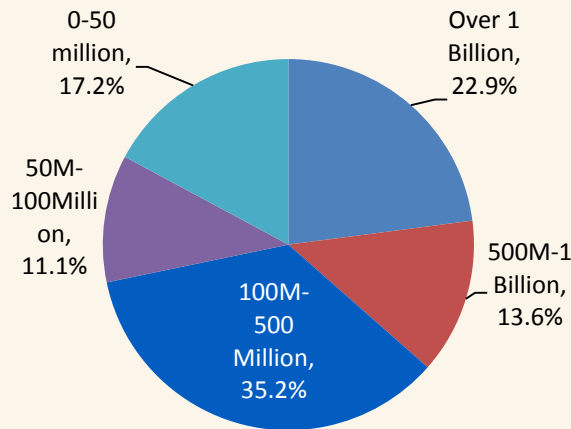
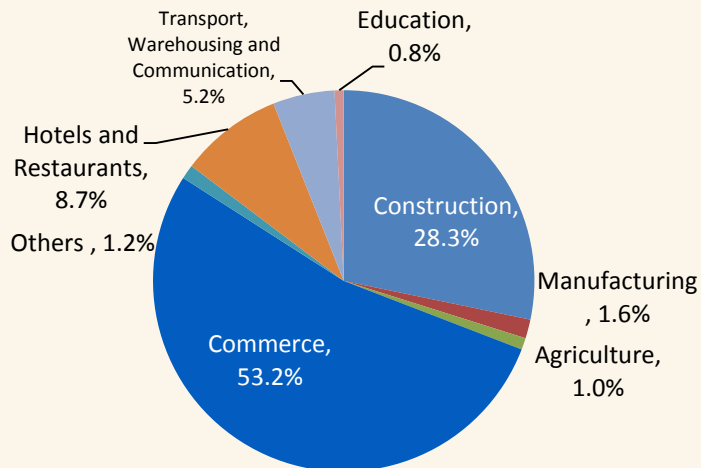
31 December 2011



■ Corporate Loans

■ Retail Loans

Corporate Loan Book, 30 September 2012

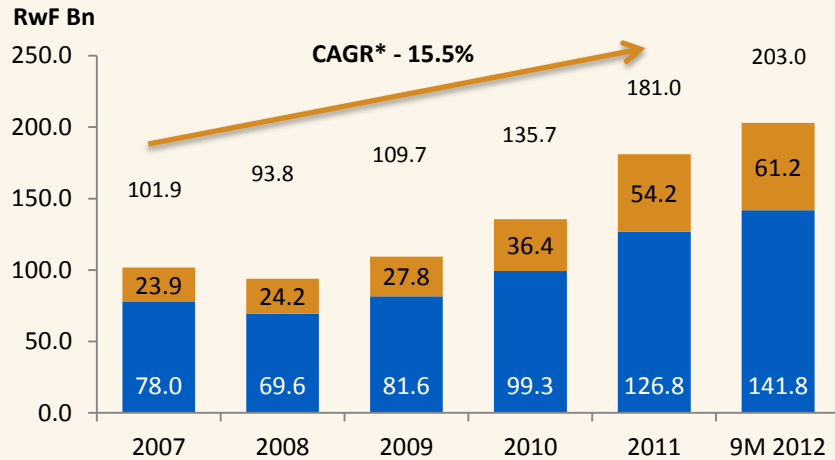


Corporate Loans: RwF 116.6 Bn

Source: Bank of Kigali

Customer Deposit Base

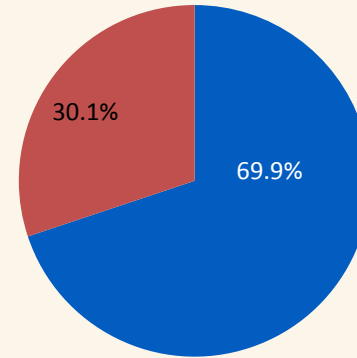
Customer Deposits Growth



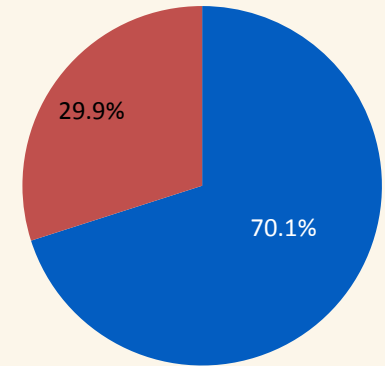
* CAGR calculated from 2007-2011 Source: Bank of Kigali

Customer Deposit Segmentation

30 September 2012



31 December 2011



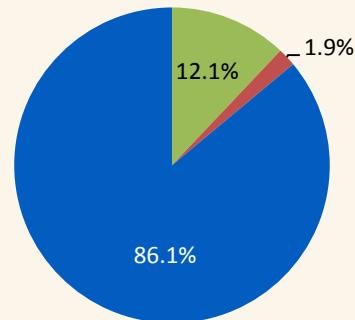
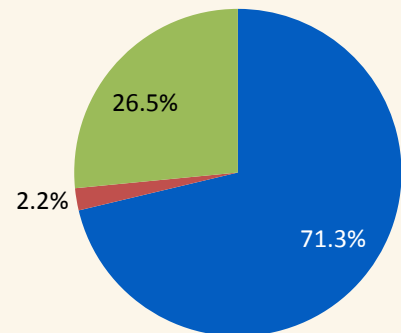
■ Corporate Deposits

■ Retail Deposits

Structure of Deposits, 30 September 2012

Corporate: RWF 141.8 Bn

Retail: RWF 61.2 Bn



■ CB Demand Deposits

■ CB Collateral Deposits

■ CB Term Deposits

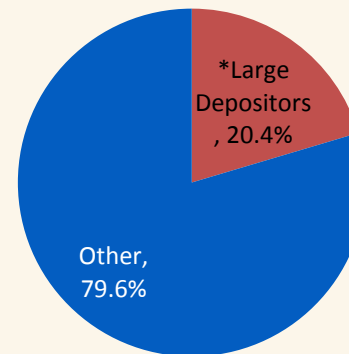
■ Term Deposits

■ Savings Deposits

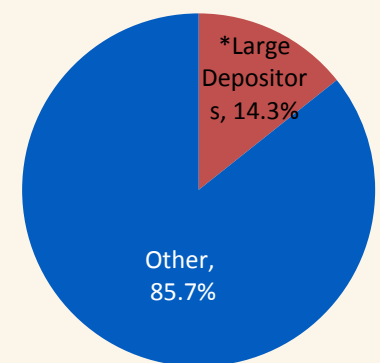
■ Demand Deposits

Customer Deposits Concentration

30 September 2012



31 December 2011

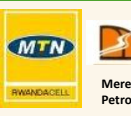


Notes: * depositors with total balances above 5% of shareholders' equity of BoK

Source: Bank of Kigali

Corporate Banking

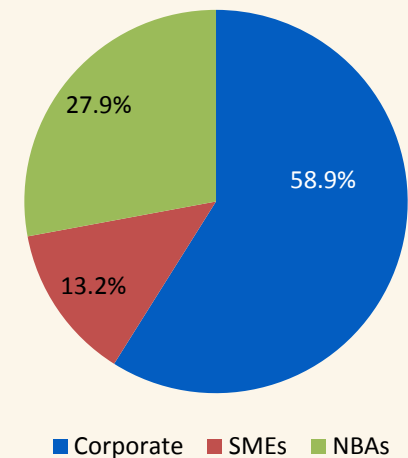
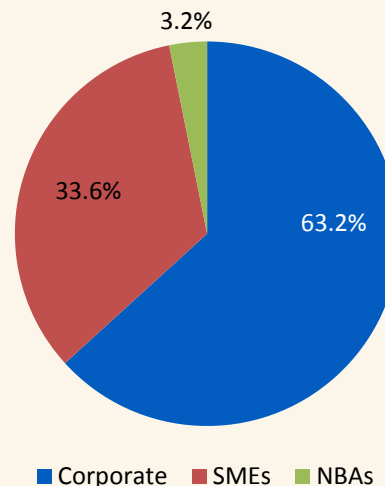
Description



- ☒ Clients include corporate, SMEs and NBAs*
- ☒ Interest rates are in the 15.0%-17.25% range Key products:
 - ☒ CAPEX loans: long-term loans for investment or expansion of the business
 - ☒ Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years
 - ☒ Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
 - ☒ Overdrafts
 - ☒ Strategy
 - ☒ Introduce new services, integrate client coverage
 - ☒ Grow and consolidate market share
 - ☒ Leverage superior lending capacity
 - ☒ Focus on payroll services

*NBAs (Non Business Associations) includes Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc

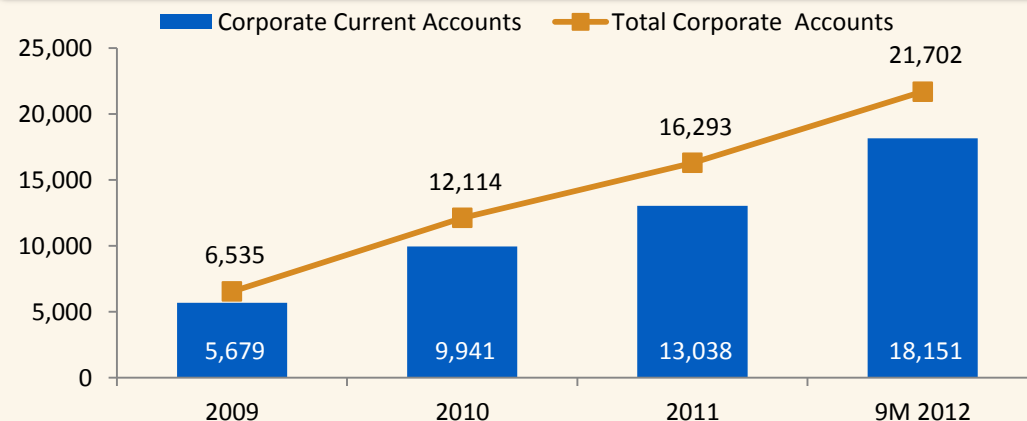
Key Segments as at 30 September 2012



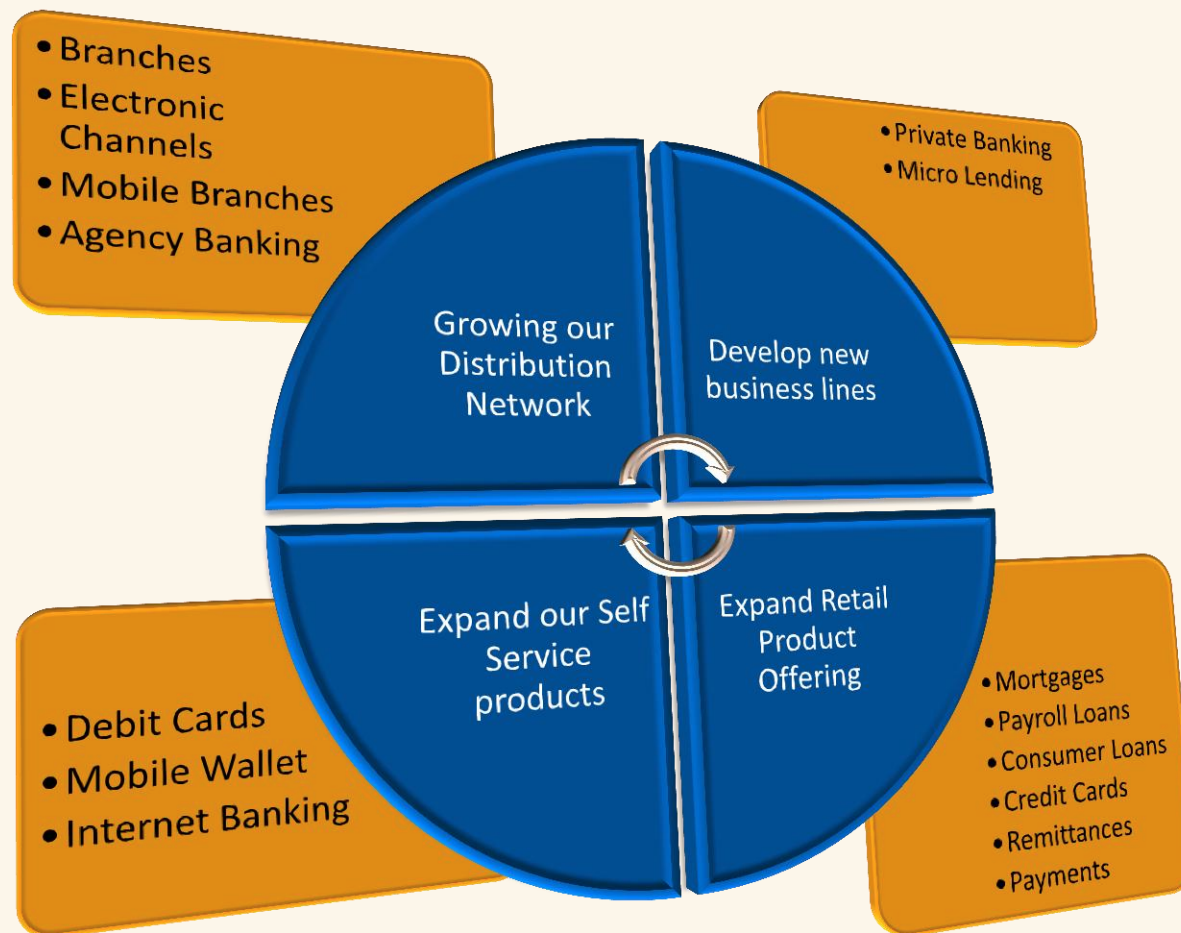
Corporate Loans: RwF 116.6 Bn

Corporate Deposits: RwF 141.8 Bn

Number of Corporate Accounts



Executing The Retail Strategy



Retail Banking

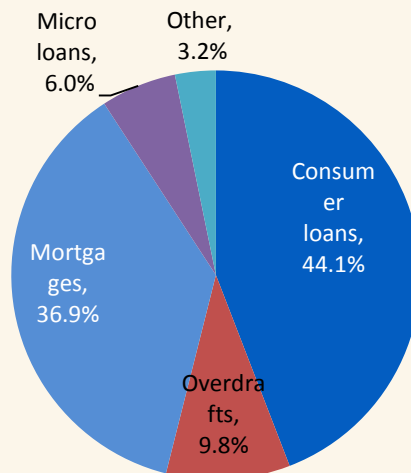
Description

- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of overdrafts
- Key products:
 - Mortgage loan: up to 10 years with typical customer participation at 30% of property value
 - Consumer loan: up to 12x monthly salary and 48 months
 - Overdraft: up to 50% of monthly salary (normally repaid in 30 days)
 - Other products include credit cards and asset leasing
- Strategy:
 - Build a ubiquitous branch footprint throughout the country
 - Build sufficient channel capacity to be able to service 500,000+ clients by 2015
 - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
 - Expand credit card/debit card offering to other providers (MasterCard, Amex etc)

Our Products

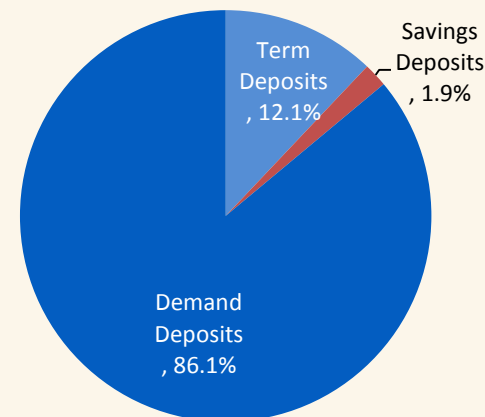


Retail Lending



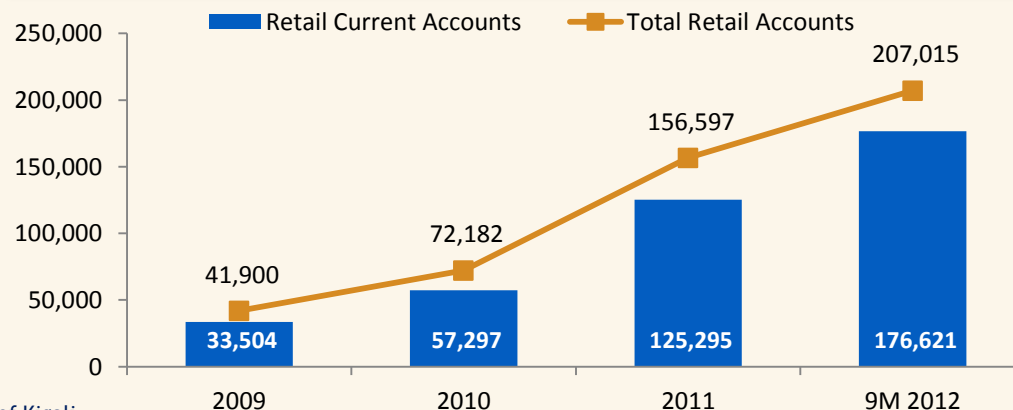
Retail Loans: RWF 55.4 Bn

Retail Deposits



Retail Deposits: RWF 61.2 Bn

Number of Retail Accounts

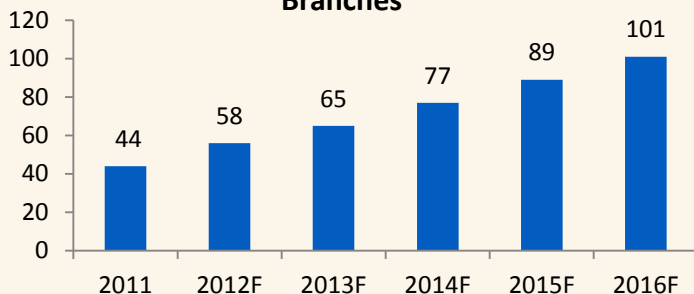


Source: Bank of Kigali

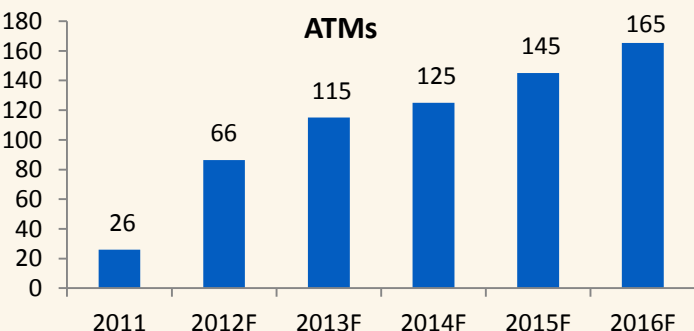
Growing Our Distribution Network

Ubiquitous footprint

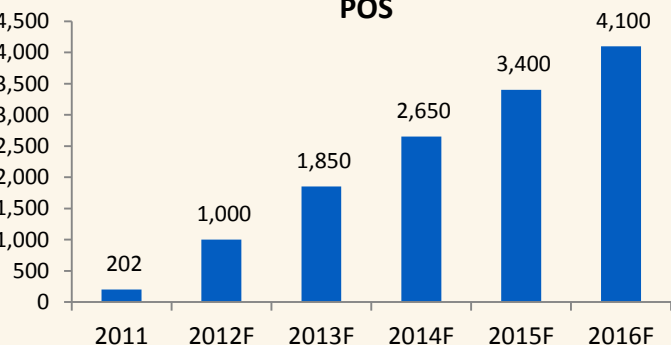
Branches



ATMs



POS



Increasing functionalities of our delivery channels

2012 Targets

- ☒ Cash out and Cash in at Point of sale merchants
- ☒ Deposit taking ATMs
- ☒ Cardless Transactions at ATMs through our mobile banking and mobile wallet



Agency Banking

- ☒ Recruitment of 400 existing businesses as agents in underway
- ☒ Agents will be able to perform cash in and cash out transactions, account opening and micro loan applications and disbursement.
- ☒ Introduce 20 BK owned agent kiosks in high traffic areas
- ☒ Partnership with mobile telcos for our clients to transact at their agents



Other Initiatives

- ☒ Launch of mobile branches: so far 5 mobile vans have been deployed 2012
- ☒ Become super agents for mobile telcos to attract their customers to BK and increase cross selling opportunities



Expanding Our Self Service Products

Growing our Card Business

2011 Achievements

- Issuing of approximately 40,000 VISA Electron cards
- Interoperability of our ATMs with VISA Electron and local proprietary Cards

2012 Targets

- AMEX acquiring.
- Launch of three new card products
 - VISA Prepaid
 - VISA Classic (Credit Card)
 - VISA Gold (Credit Card)
- Launch of E-commerce

Achievements Year to Date

- CUP and Diners Club Card Acquiring
- Launch of Visa Prepaid, VISA Gold and Visa Classic Credit Card s

Increasing our Mobile product offering

1. Enhancing our mobile banking service

- In 2011, the Bank upgraded its SMS banking service to a mobile banking service allowing customers to perform the following transactions:
 - Purchasing prepaid TV, airtime and electricity
 - Check Balances and Bank information
 - Order cheque books

2. Launching our mobile payment platform

- This platform will enable our clients to make purchases at selected merchants using their mobile phones
- mPay was launched in the 1H 2012

3. Launch of mobile wallet

- Issuing of a mobile wallet that is either linked to a current account or not linked to a current account
- Wallet will enable our customers to store cash and transact at our ATMs and agents
- Expected launch date: Q1 2013

Attractive Products



Refreshing Product And Service Line Up

New Business Lines

1. Teleco mobile money agency

- Super agent for the two telcos
- All our 56 branches will be agents for the mobile teleco money
- Virtual money customers can deposit, withdraw at any of the BK branches countrywide



2. Establishing BK Securities subsidiary

- BK custody has over 60% of the local investors
- The securities brokerage services will offer our investors seamless services

Grow Retail Product Offering

1. Loan Products

- Top up mortgages
- Consumer loans to tap the growing middle class
- Credit cards
- Payroll loans: Leveraging our corporate clients' payrolls

2. Remittances

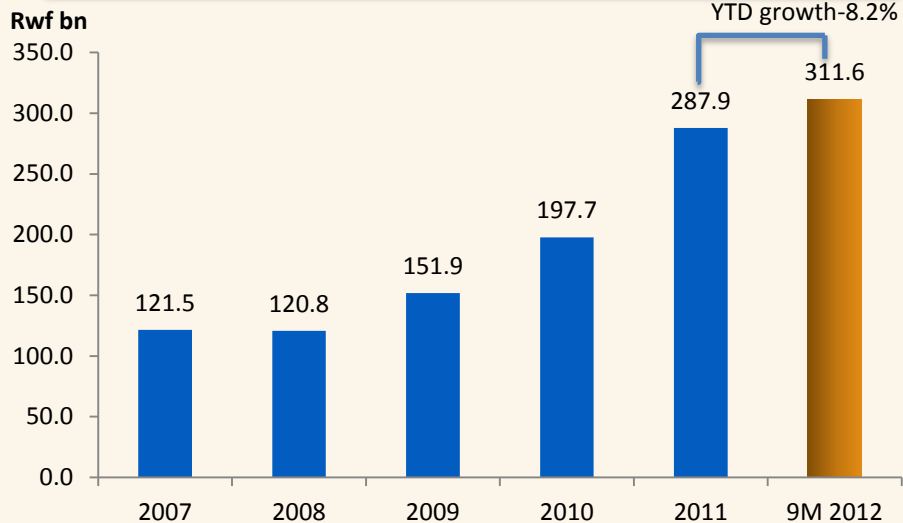
- Grow our Western Union market share from 36% to 40%
- Increase functionality of Western Union to enable direct transfers to current accounts and mobile wallets
- Harmonise BK tariff structure with the region to increase competitiveness
- Expand our offering to Moneygram & Express Money services



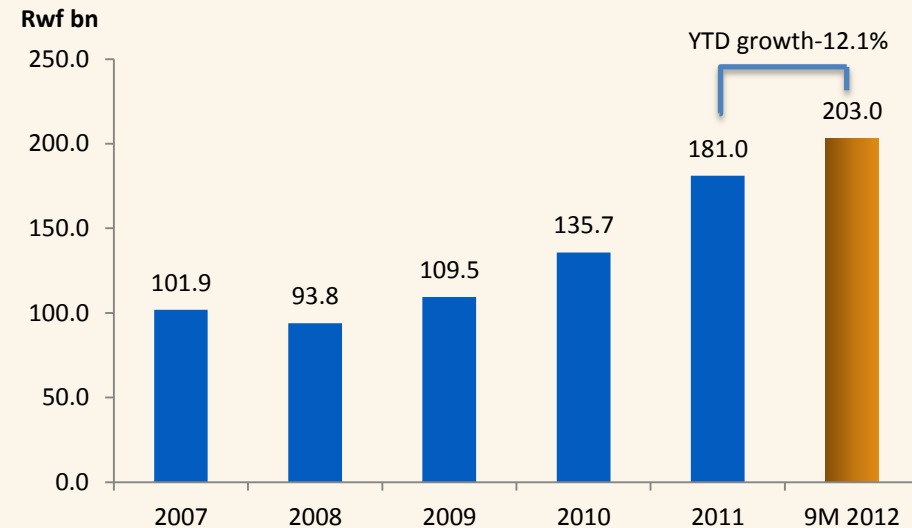
REVIEW OF FINANCIAL PERFORMANCE IN 9M 2012 & 2011

Balance Sheet Highlights

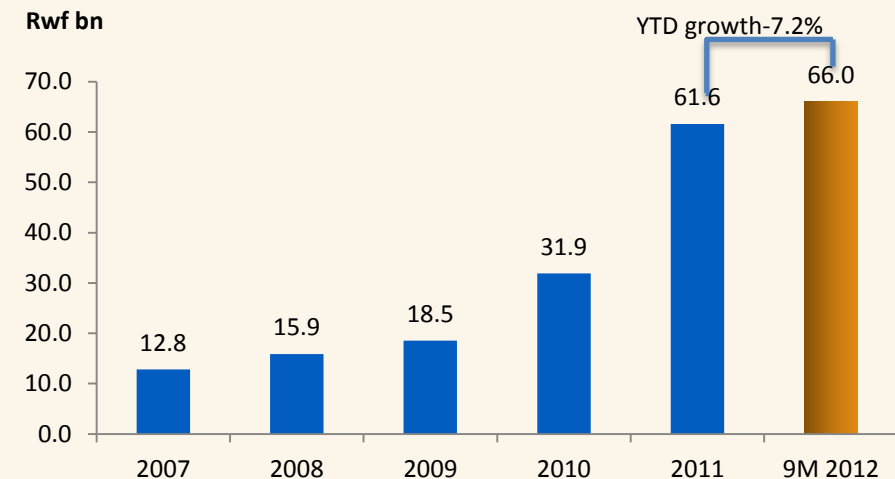
Total Assets



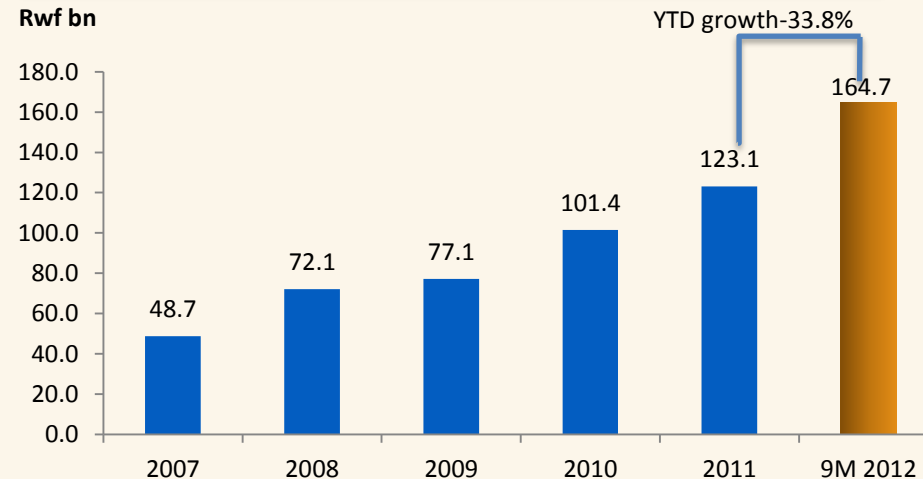
Customer Deposits



Shareholders' Equity

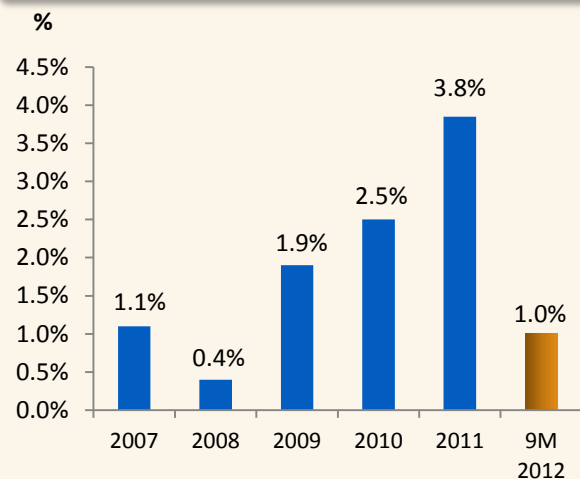


Net Loans

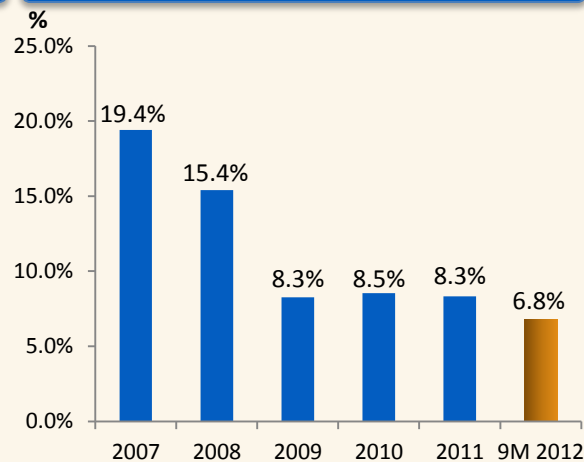


Asset Quality

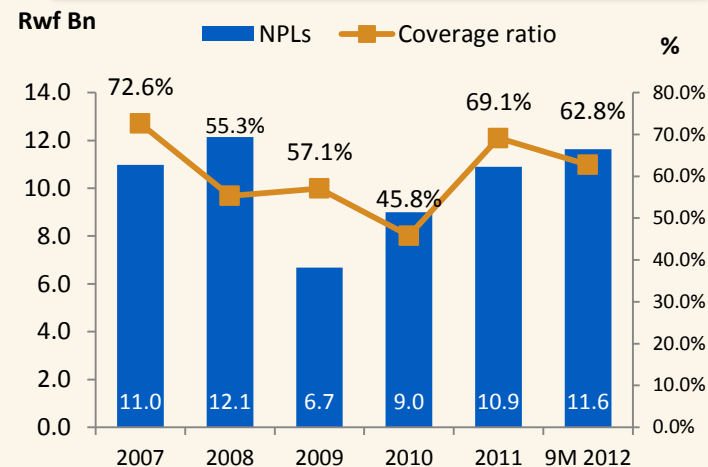
Cost of Risk**, %



Manageable NPL Ratio



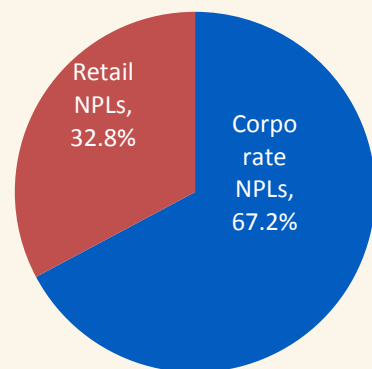
Improving Coverage Ratio



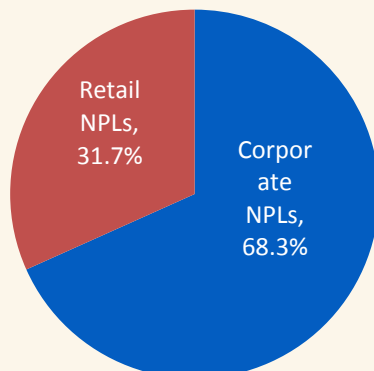
Notes: * 9M 2012 figure is annualized
** LLP charge / Average gross loans for period

NPLs by segment

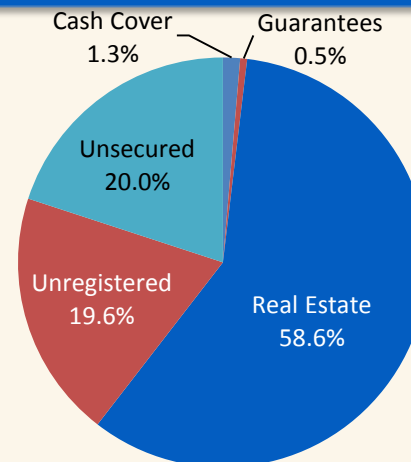
30 September 2012



31 December 2011



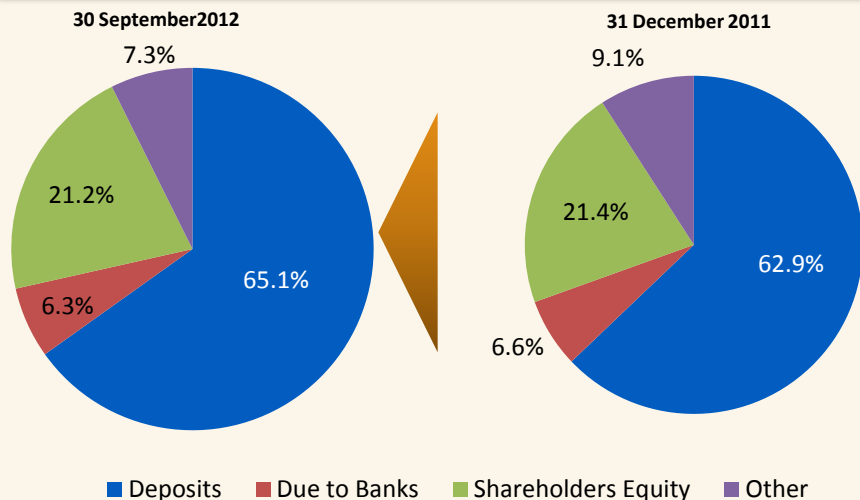
Collateral Structure



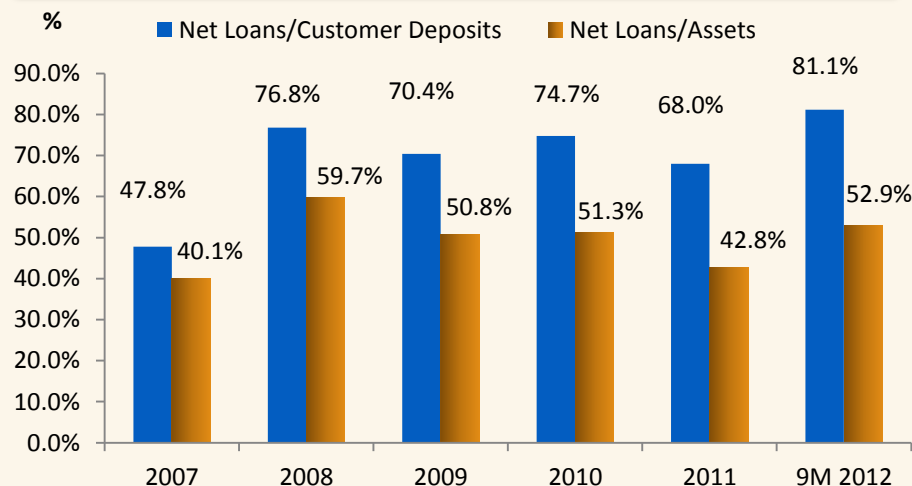
Source: Bank of Kigali Audited IFRS Statements 2007-2010, Bank of Kigali Unaudited IFRS Statements 2011

Funding

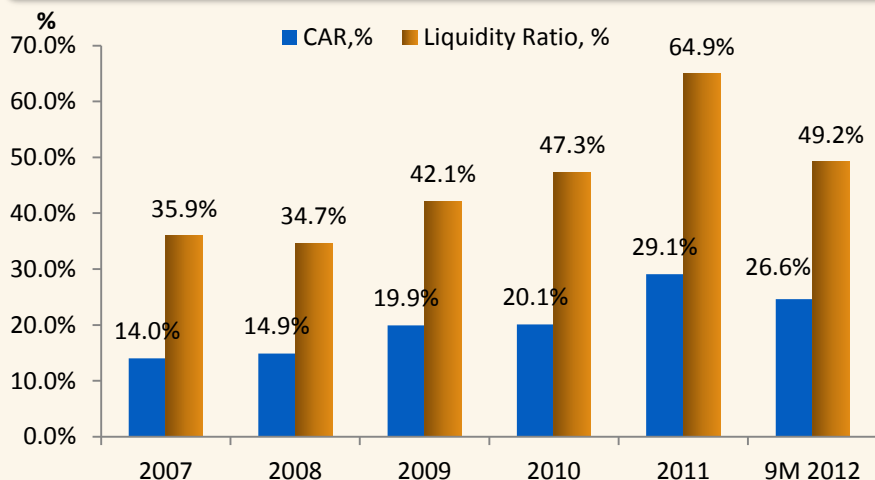
Funding Structure, %



Significant Potential For Growth In Higher Yielding Assets



Strong Capital And Liquidity Position



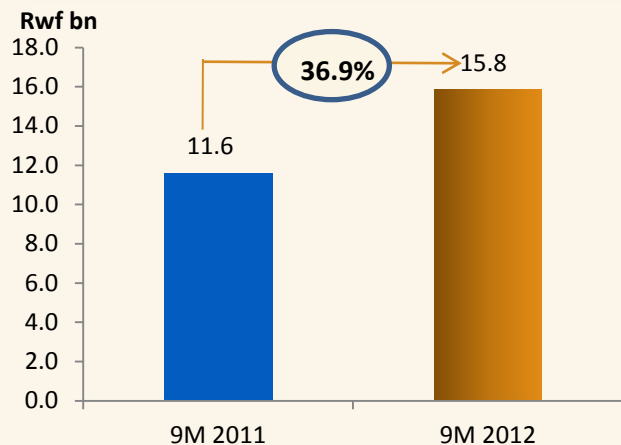
Highlights

- Deposits are the primary source of funding with share of deposits exceeding 65% as at September 2012
- Strong growth in deposits has been driven by our branch expansion
- The Bank has also signed 3 long-term credit lines with the European Investment Bank worth € 5 million for 7 years, US\$20 million for 10 years with the French Development Agency and US\$12 million for 10 years with the African Development Bank,
- The Bank had drawn down EUR 3.8 million & US\$5.0 million on the EIB & AFD loans respectively by 30 September 2012

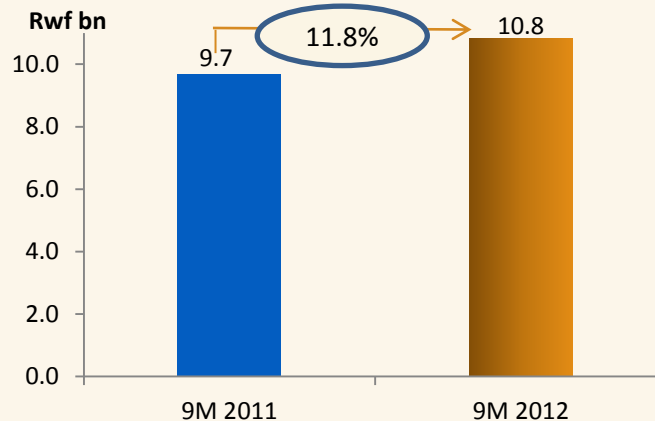
Source: Bank of Kigali audited IFRS Statements

9M 2012 Performance Highlights

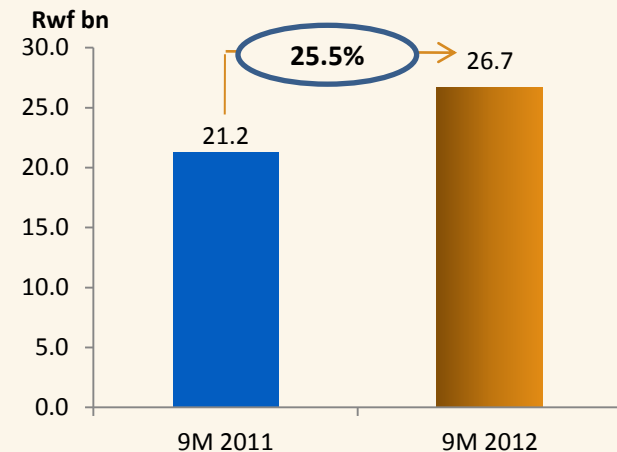
Net Interest Income



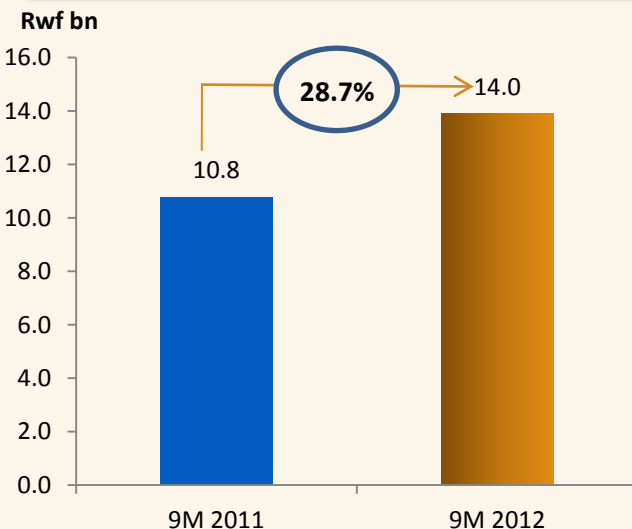
Net Non-Interest Income



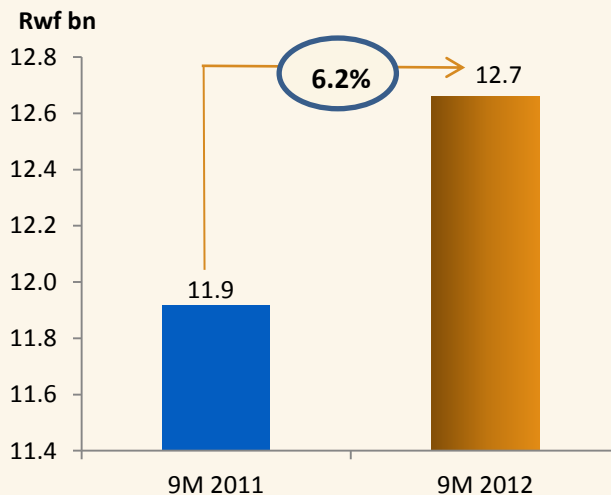
Total Operating Income



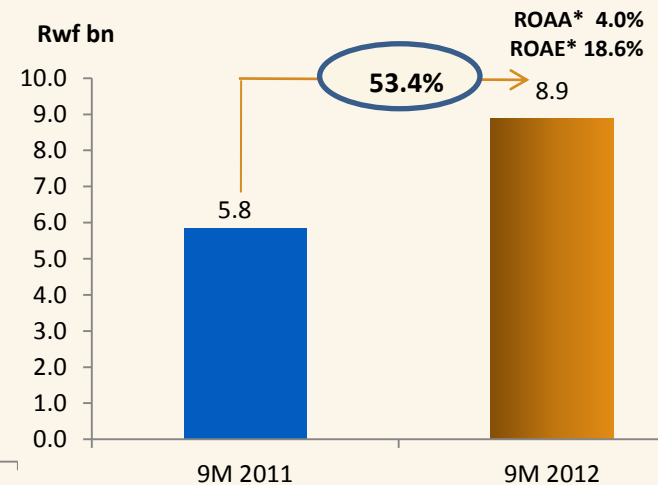
Total Operating Costs



Profit Before Provisions



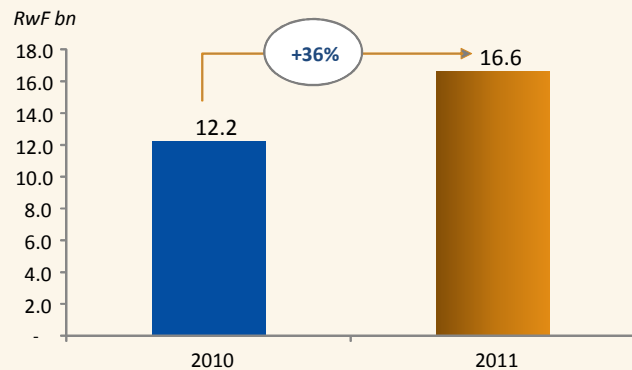
Net Income



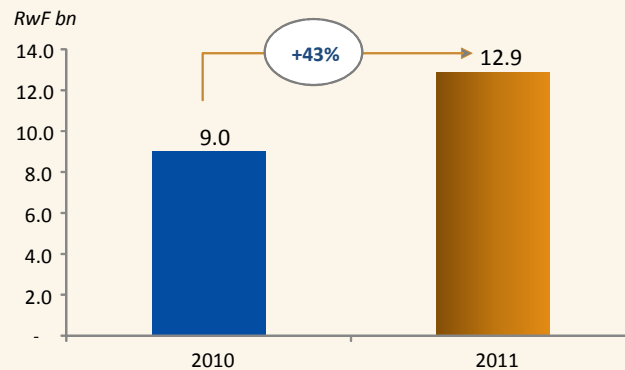
*Annualized

2011 Performance Highlights

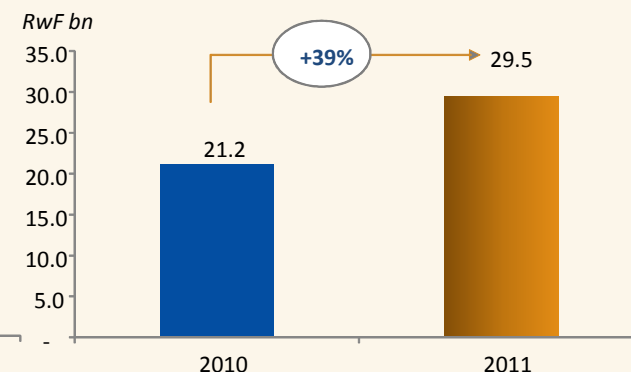
Net Interest Income



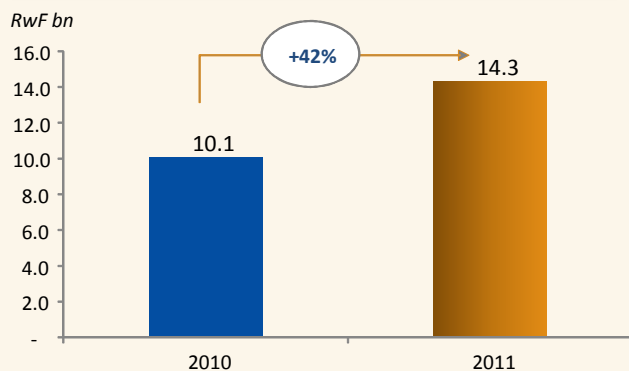
Net Non-Interest Income



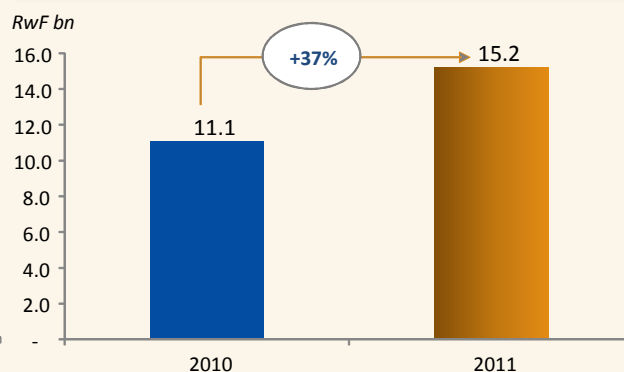
Total Operating Income



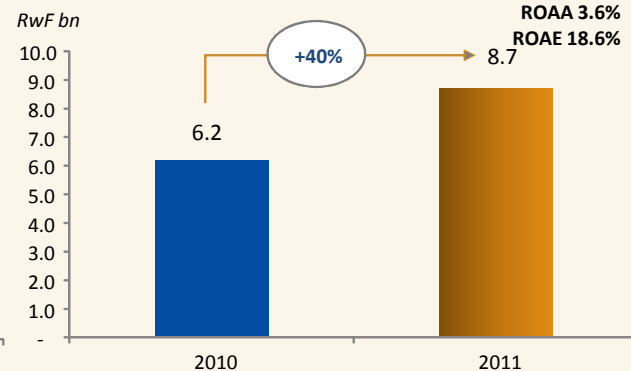
Total Operating Costs



Profit Before Provisions

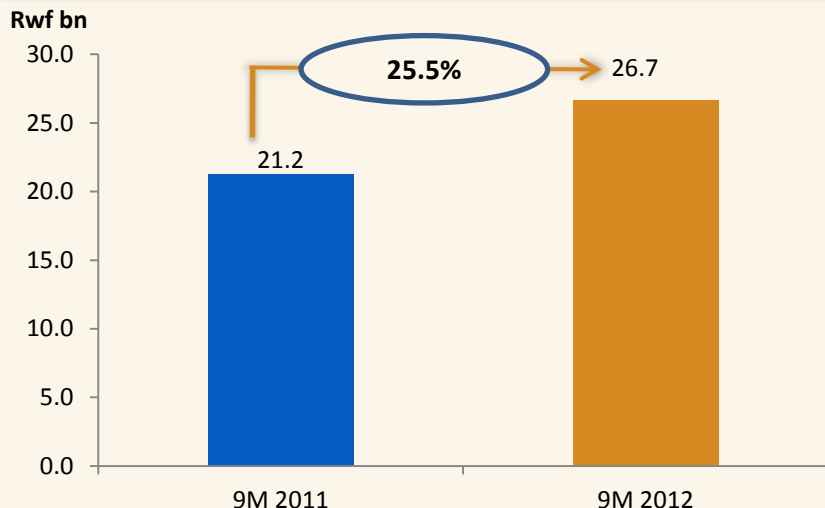


Net Income

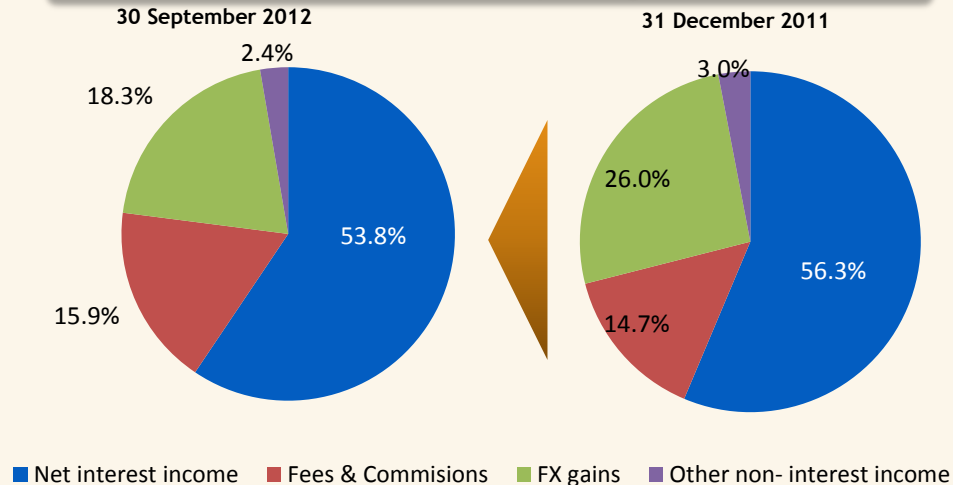


Income Statement Highlights

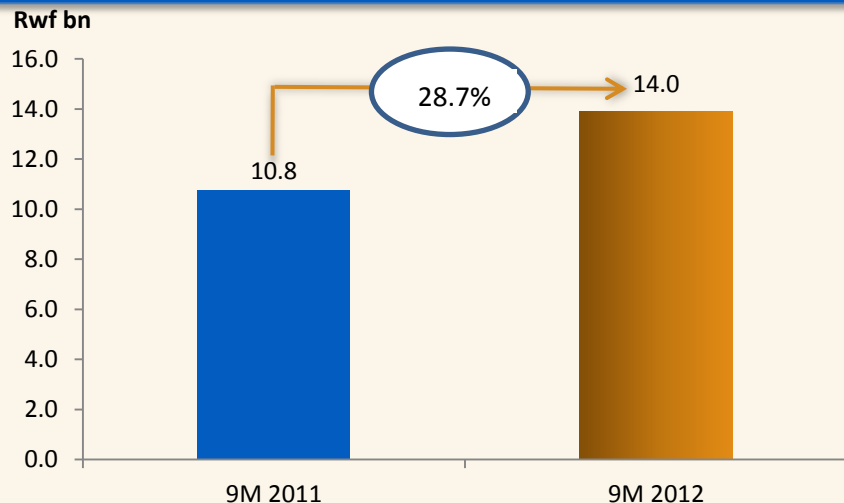
Total Operating Income



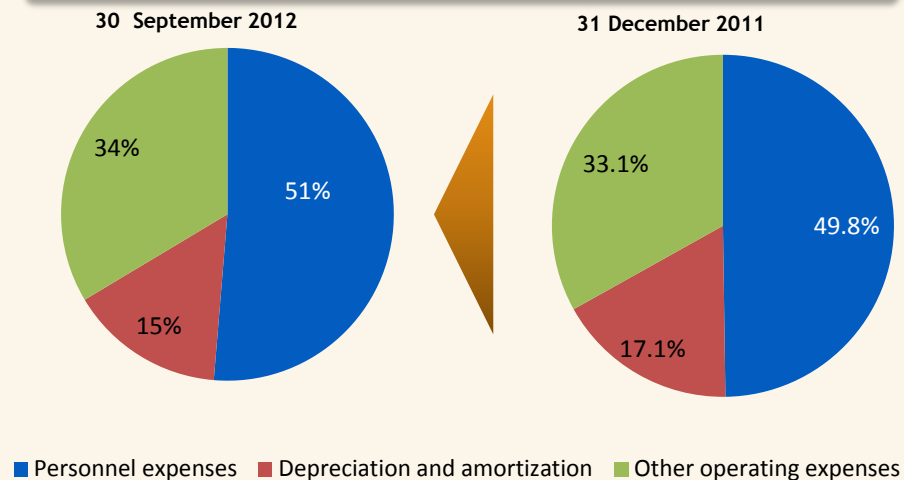
Composition Of Total Operating Income



Total Operating Costs



Composition Of Total Operating Expenses

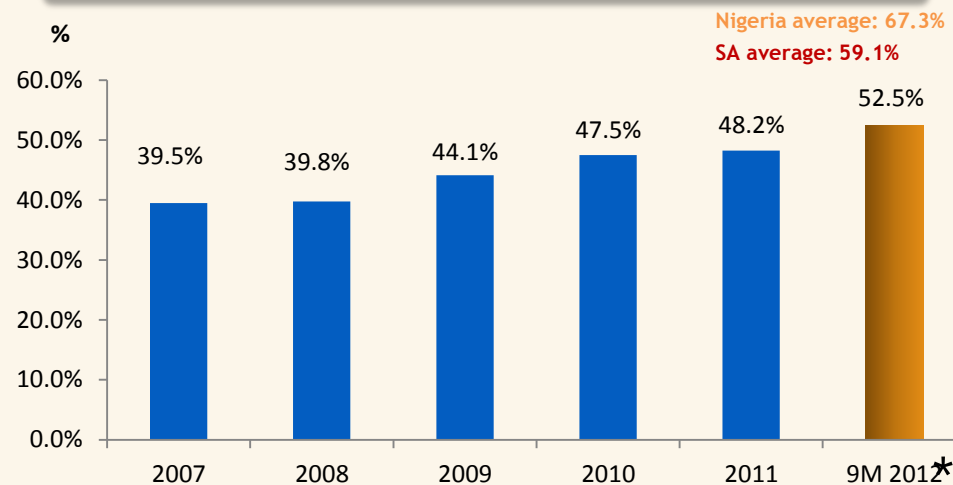


Consistent Profitable Growth

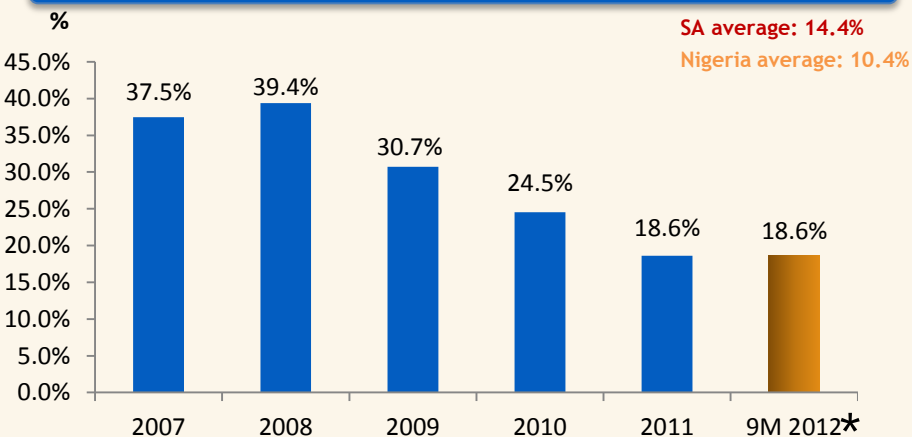
Sustainable Net Interest Margin, %



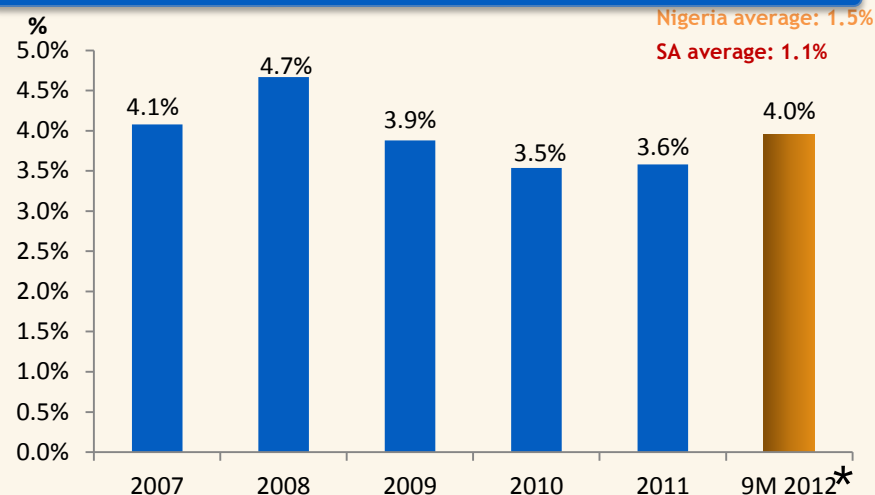
Attractive Cost/Income ratio



Consistent Returns To Shareholders, %



Strong Return on Average Assets, %



*9M 2012 figures are annualized

Source: Bank of Kigali Audited IFRS Statements 2007-2011

Bank of Kigali reviewed results 9M 2012, African Alliance Research 2012

STRATEGIC OUTLOOK

Strategic Outlook

Objectives

Strategies

Action

Outcomes

Customer growth in terms of current accounts

Build a ubiquitous branch footprint throughout the country

Build sufficient channel capacity

Expand retail product offering

- ☒ Expand the branch network to 60+ branches by YE 2013
- ☒ Increase the number of ATMs, POS terminals and cards outstanding
- ☒ Build a modern and scalable mobile banking and Internet banking platforms
- ☒ Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)
- ☒ Flexible, offset, variable-rate, etc mortgages
- ☒ Full range of consumer loan products
- ☒ Revolving credit cards
- ☒ Payroll & pension-backed loans & overdrafts
- ☒ Microfinance
- ☒ Modern, multi-currency current accounts with debit cards
- ☒ Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere
- ☒ Payment & e-wallet solutions
- ☒ Full range of deposit products

- ☒ Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit
- ☒ Reach out to the unbanked (but bankable) population
- ☒ Become the bank of choice and convenience for the middle class and youth entering the employment sector
- ☒ Create capacity to service 500,000+ clients
- ☒ Maximize the product-to-client ratio
- ☒ "Grow with clients"
- ☒ Valuable source of retail clients through payroll programs
- ☒ Growth of loan book and F&C income

Healthy structure & growth of balance sheet

Increase the loan to deposit ratio to 60%

Increase retail loans penetration

Consolidate the leading position in corporate banking

Increase the maturing profile of liabilities

Create a universal banking platform

- ☒ Integrated client coverage
- ☒ Leverage the superior lending capacity
- ☒ Cross-selling opportunities
- ☒ Documentary operations & trade finance, FX, other solutions
- ☒ Rep offices in EAC from 2012
- ☒ Leverage the superior access to wholesale funding to complement the deposit funding base
- ☒ Private Banking, Securities, Insurance

- ☒ Diversification of funding base
- ☒ Expand the share of higher-margin lending
- ☒ Maximise the cross-sell opportunities
- ☒ Grow the share of retail in the loan book up to 30%-40% in the medium term
- ☒ Reduce maturity gap
- ☒ Enable further expansion of long-term lending
- ☒ Further diversification of revenue streams

Earnings growth ~30%
Return on Average Equity > 20%

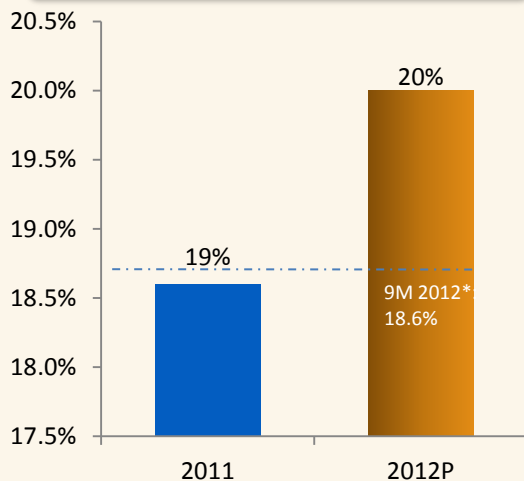
Maintain profitable growth

- ☒ Continuous improvement of risk management policies & procedures
- ☒ Disciplined capital management, medium term target CAR of 15%-17% and ROAE of 20%+, implying ROAA in the 3.5% range

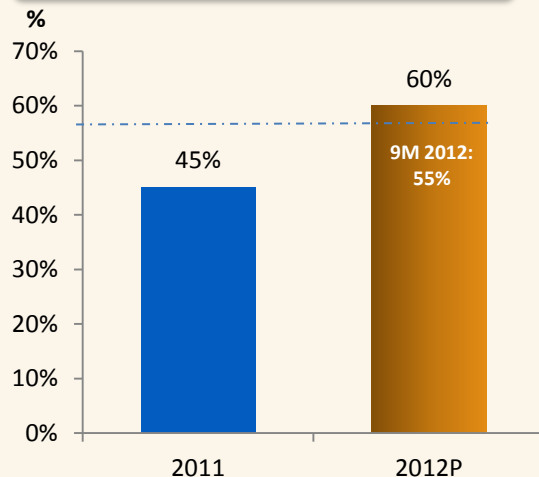
- ☒ No profitability sacrifices for the sake of market share gains
- ☒ Sensible dividend policy as the growth curve flattens out over time

Management Targets

Return on Average Equity



Gross Loans/Total Assets



Other Selected Management targets

- Launch representative offices within the EAC region



Kampala



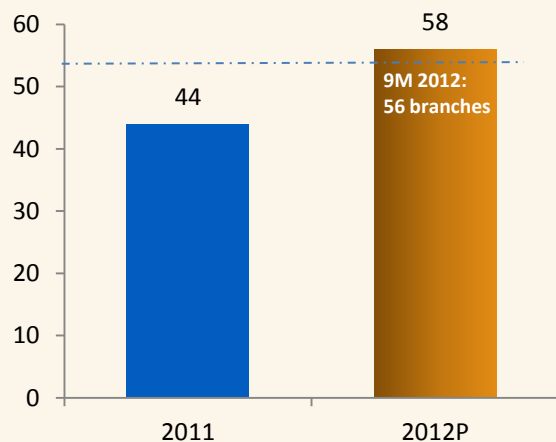
Nairobi

- Launch agency banking

- Launch Premier Banking - targeting 500 clients by YE 2013

- Revamp the existing digital wallet/mobile banking distribution channel

Branch expansion



* Annualised

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